



Consulting & Analytics Club
IIT Guwahati

Consulting Guide'20.

Disclaimer

All the content and concepts used in this deck is accurate to best of our knowledge. Any citation from the internet has been acknowledged. This deck is prepared by the students team at [Consulting & Analytics Club, IIT Guwahati](#).

If you find some discrepancy in the material, kindly drop us an email at cac@iitg.ac.in

Contents: A Sneak Peek

1. What are Case Interviews?
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11. Further Reading

What Are Case Interviews?

The tale of Case interviews

STRUCTURED THINKING

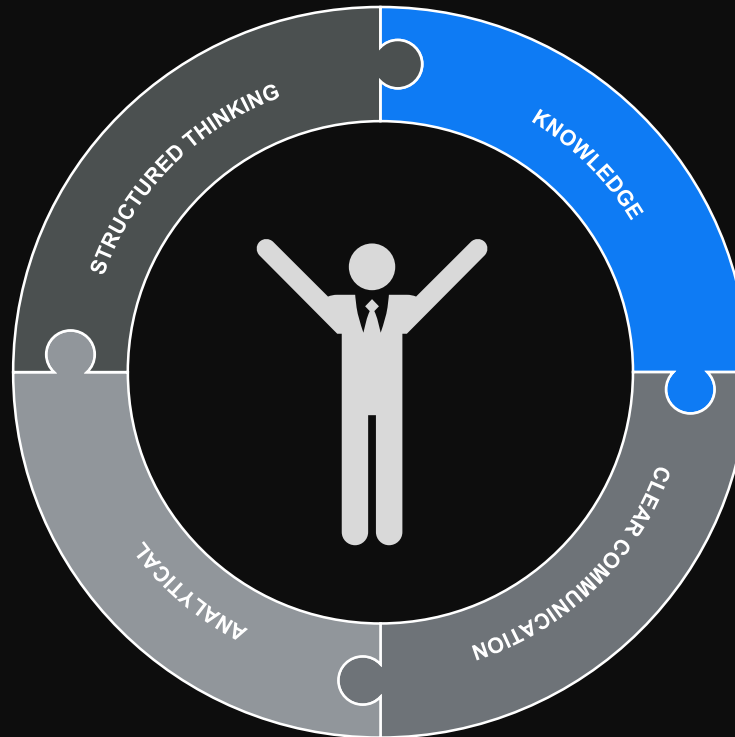
Never blurt out random ideas

Interviewers love **Structured thinking**, even if the final answer isn't right.

ANALYTICAL SKILLS

Don't get stuck on calculations!

Round off numbers, and use them quickly and efficiently



KNOWLEDGE

Be prepared with different frameworks.

Practice a few cases beforehand and stay updated on industry news

CLEAR COMMUNICATION

Communication skills would be of utmost importance

While solving the case, **Think Out Loud!**

Case Interview Process

4-5 Eliminative Case Study rounds

Recommended Preparation Material

Case Interview Secrets - Victor Cheng

Case In Point - Marc P. Cosentino

IIM A Case Book

HBR Case Book

Wharton Case Book

For
Practice

Understanding the problem -
Clarification Questions

Structuring & Analysis

Key Insights &
Recommendations

A typical case solving process

Interview Mindset

STRUCTURED THINKING

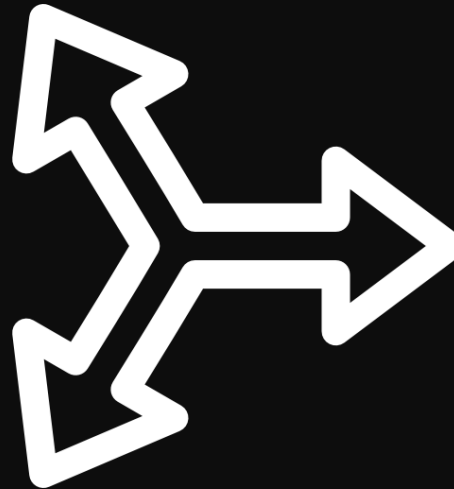
MECE Principle

It covers all the possibilities exclusively and without missing any (exhaustively).

ANALYSIS V/S INSIGHTS

Recommendations are based on Insights

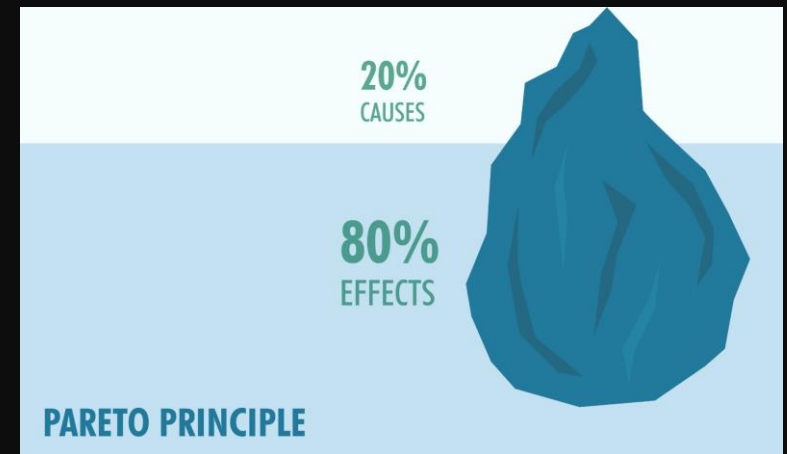
Analysis is that the costs are high while insight is that it's due to the surge in fuel prices



80-20 RULE

Don't boil the ocean to get a cup of warm water

80% of your results come from only 20% of your efforts



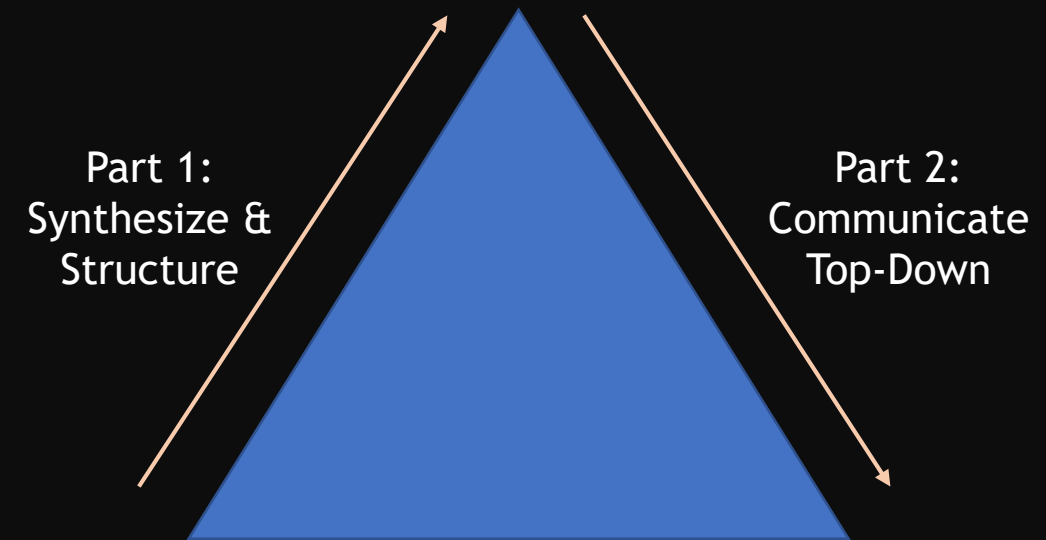
Analysis vs Insights

Analysis and insights though closely linked are different.

Analysis is what you conduct to gain insight.

Analysis is something you can control, but insight is something you seek

Female work less to generate same output as men is an analysis, Female are more productive is an insight



Collect
Data



Apply
Analysis

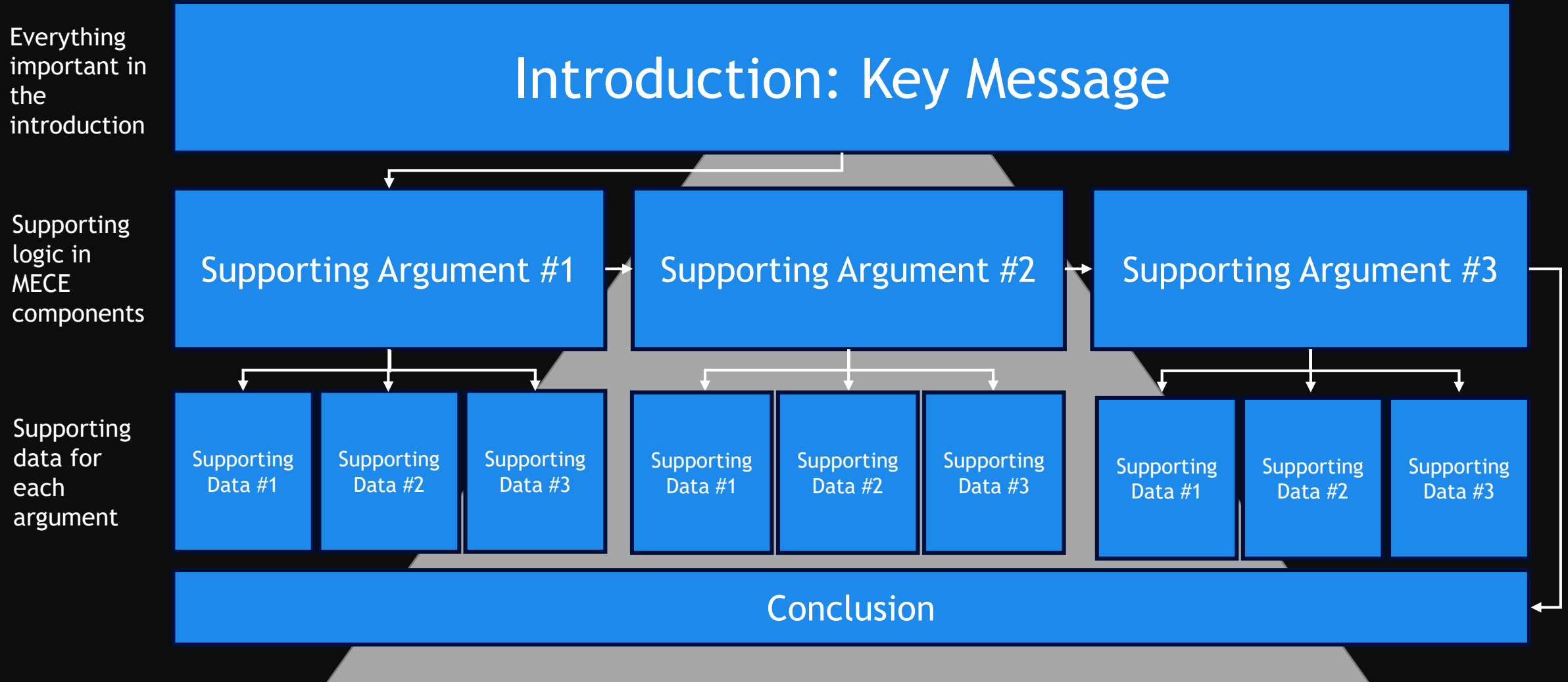


Generate
Insights



Recommend

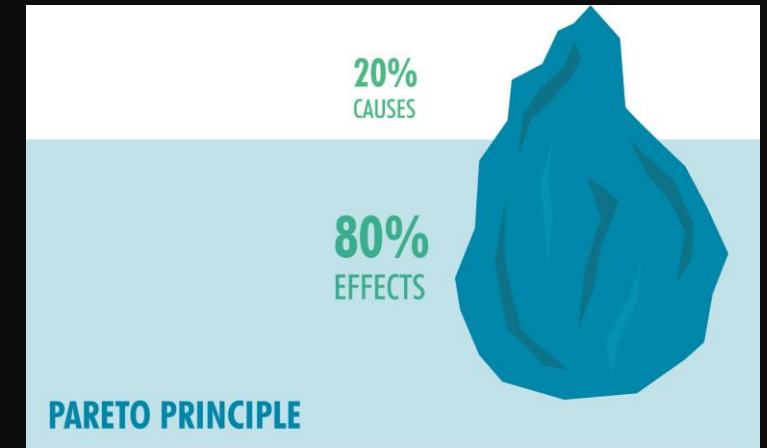
Communicating Ideas: The Pyramid Approach



Pareto Principle

The Pareto Principle states that **80%** of your **results** come from only **20%** of your **efforts**.

It indicates you need to focus your efforts, and work harder in the areas that **matter most**, while accepting it's sometimes okay to let the smaller stuff slide.



Example-1

80% of a company's profits may come from 20% of its product lines.



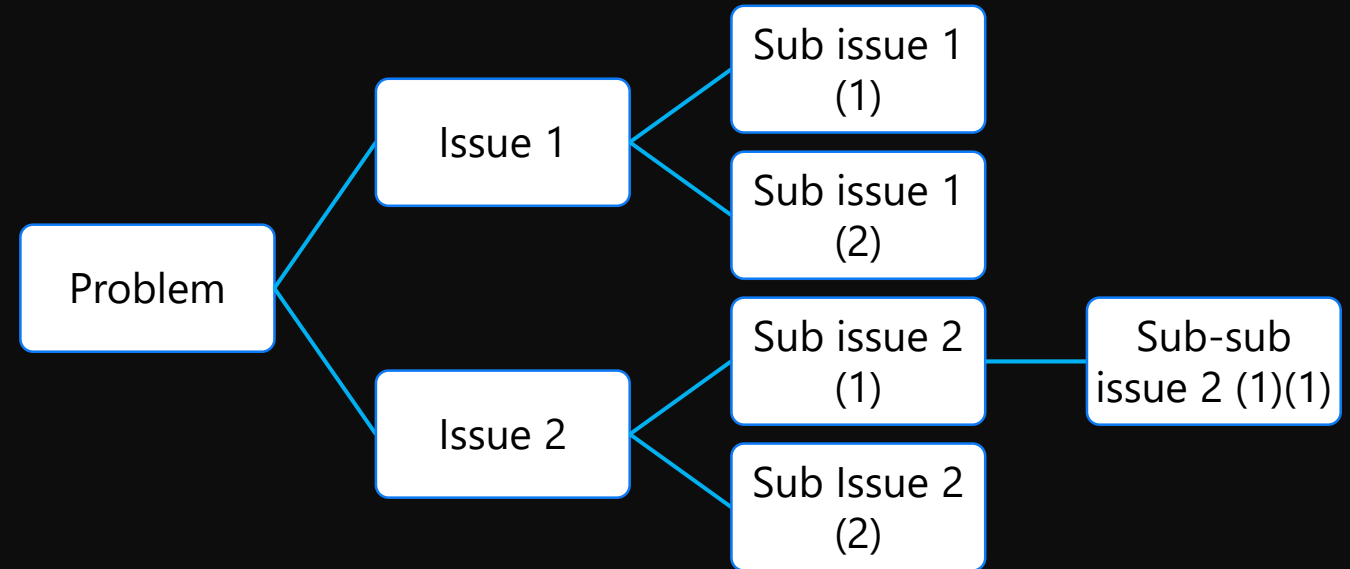
Example-2

In customer service, 80% of the complaints come from 20% of your customers.

Issue Trees & MECE Approach

Issue Trees

- A 'Map' of your problem
- Helps in **clear** and **structured** thinking and solving
- The issue tree and each of its sub-tree are **MECE** structures
- It covers **all possibilities** without going into every minute detail
- They force you to see whole categories of ideas you wouldn't have seen before.



MECE Approach

Mutually exclusive means that none of the smaller problems in your issue tree overlap with each other. This ensures that you are working efficiently since there will be no duplicated or repeated work.

Collectively exhaustive means that the list of smaller problems in your issue tree account for all possible ideas and possibilities. This ensures that your issue tree is not missing any critical areas to explore.

This means every “part” of the problem is here and that each “part” is different/independent from each other.

Creating Issue Trees

1. Divide and Conquer

Start from the root problem and divide it into sub problems, keeping in mind that the division is MECE.

For better understanding, Let's take this guesstimate.

Q. Estimate Toll Collection outside Bangalore Airport.

Clarifying Questions:

- Is only Airport Traffic to be considered?

(For simplicity, let us assume only airport traffic)

- Vehicles with monthly/annual passes are also to be considered?

(For simplicity, let us ignore such vehicles in our calculation)

Creating Issue Trees

1. Divide and Conquer

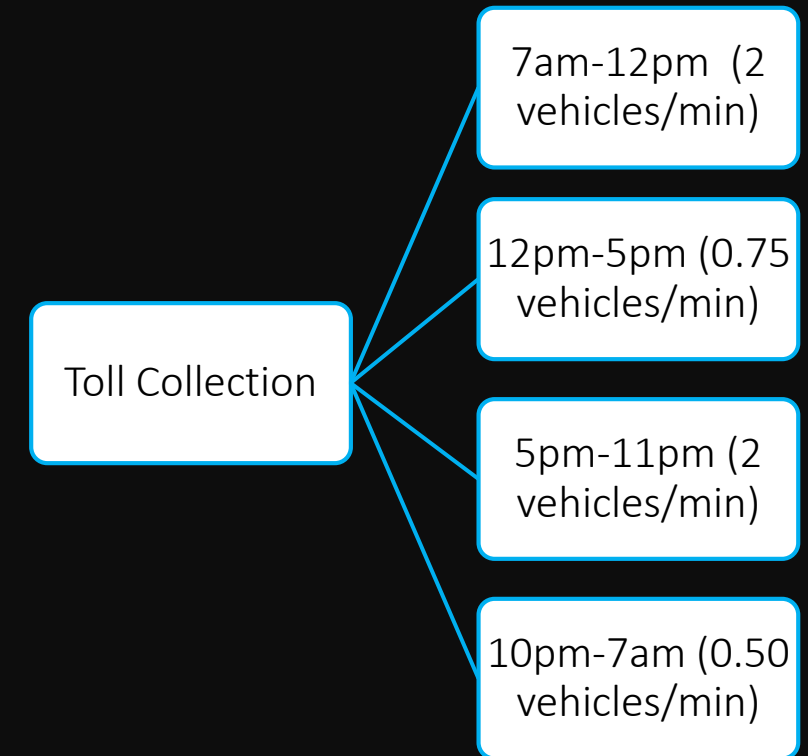
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Creating Issue Trees

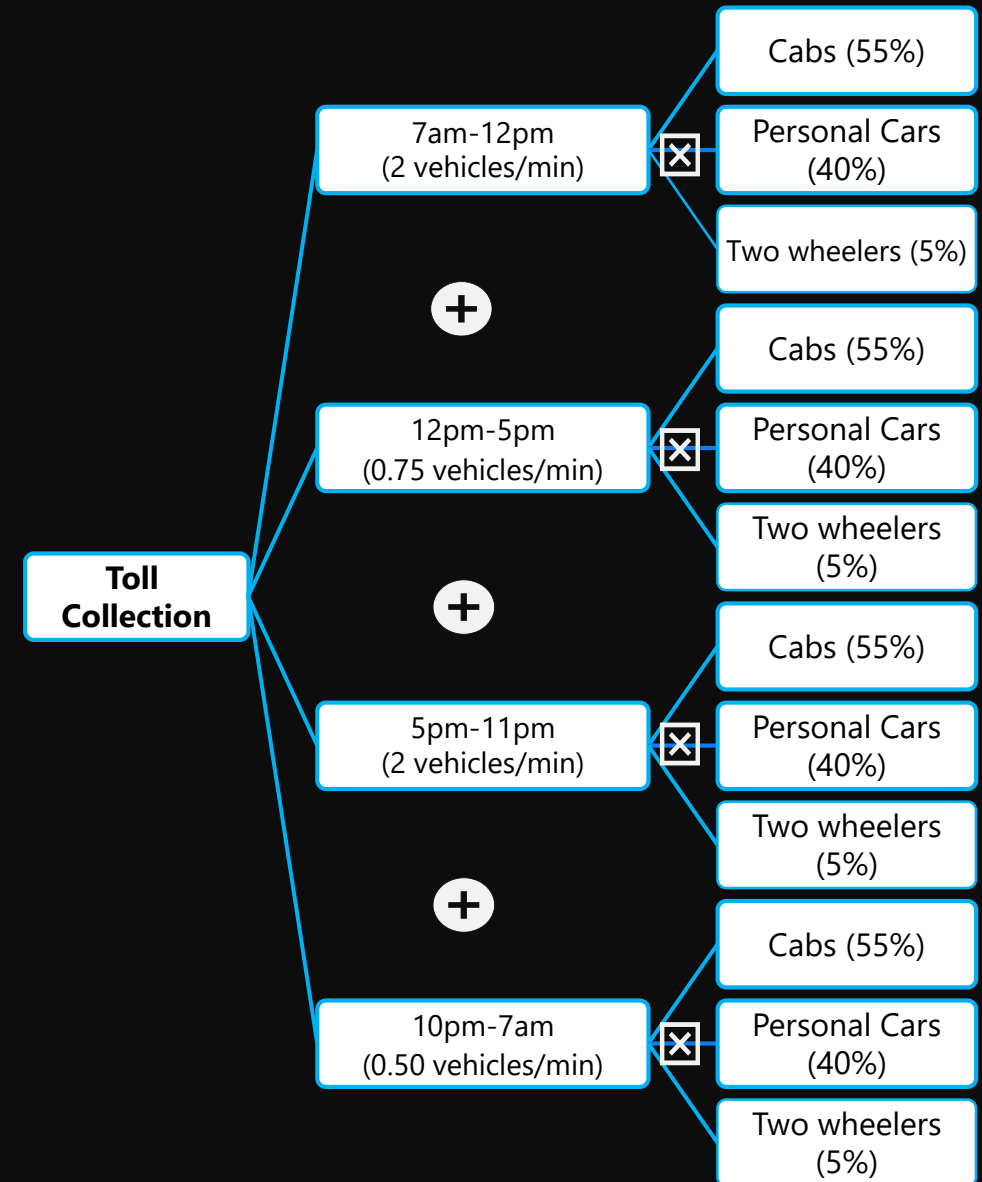
2. Add mini MECE layers

Assuming

Cabs=55% , Personal cars=40%, Two-wheelers=5%
of the total traffic

Since two-wheelers have a very low percentage,
I'm ignoring them in my further calculations.

(Also because there is very limited space here in
the slide for such a detailed tree :p)



Creating Issue Trees

3. Continue until you reach the result

Assuming

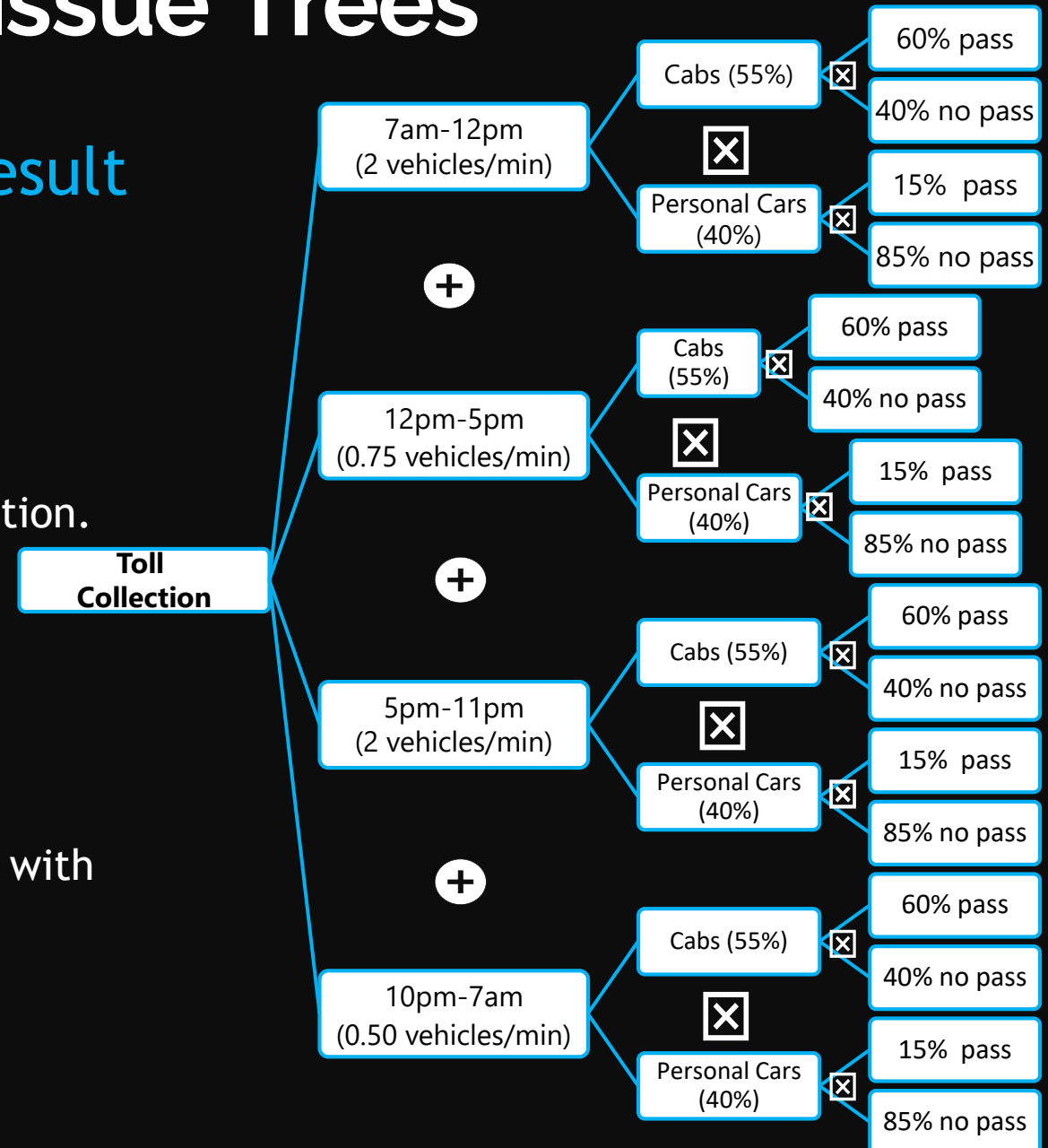
60% Cabs, 15% Personal cars have monthly/yearly passes.

Thus we use the remaining vehicles for our calculation.

Toll prices:

Cabs/Personal Cars- INR 100

After getting the total number of vehicles in a day with no pass, we can get the total toll collection by multiplying this number by 100



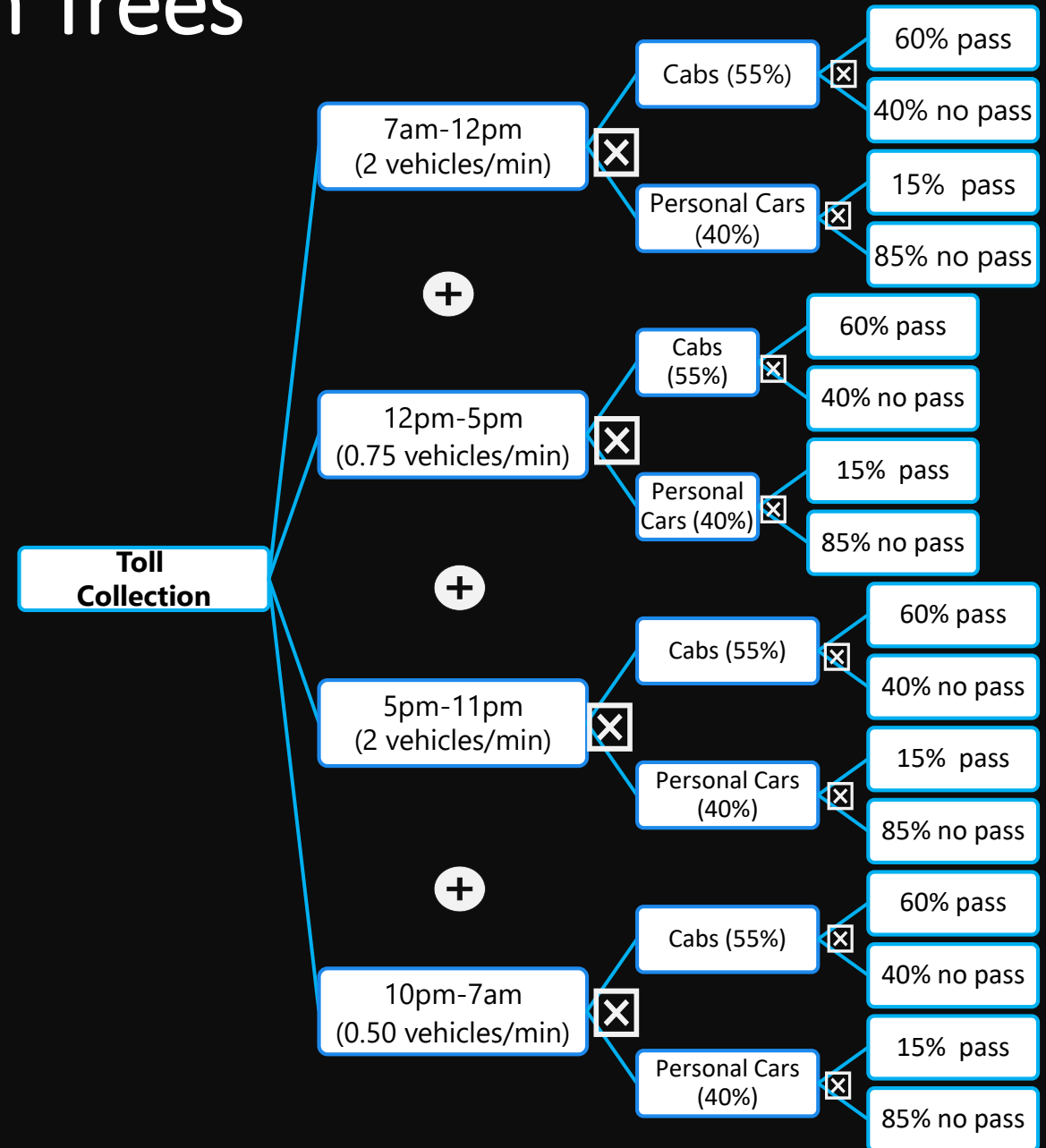
Math Trees

Did you notice the '+' and 'x' symbols in the previous Issue Tree?

It is because we have created a Math Tree!

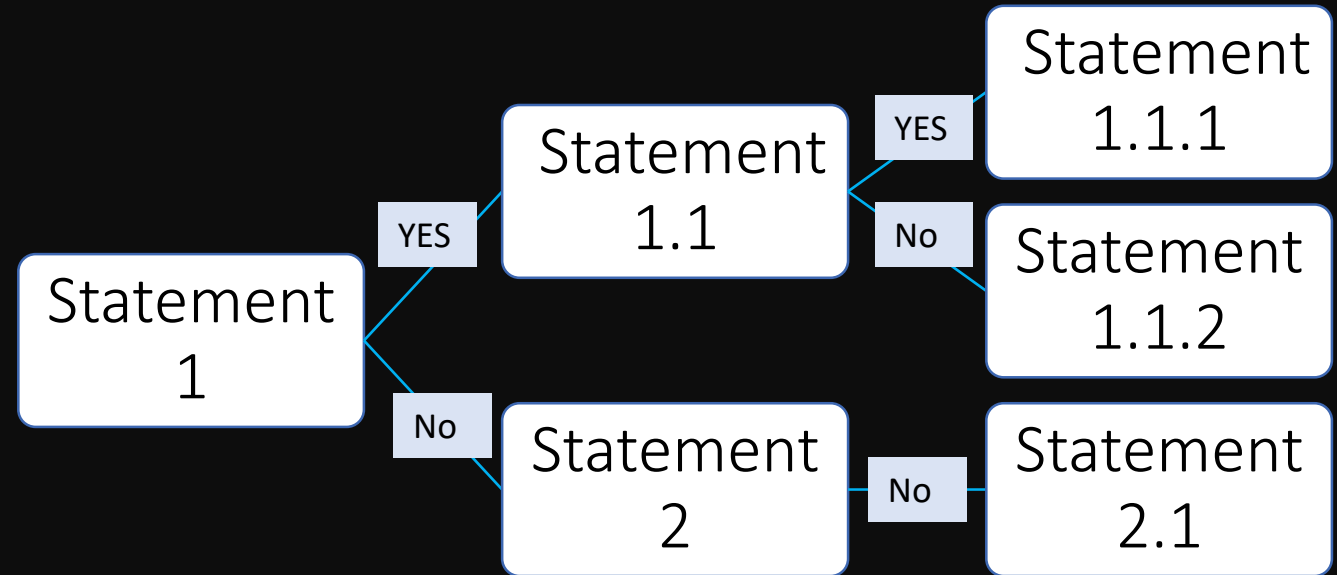
Math Equations are always MECE! This property can be used to create Issue Trees by breaking down next levels through an equation.

If your problem is numerical, Math Trees can make your work very easy!



Decision Trees

Decision Trees are just like regular Issue Trees, but they add another layer of logic to it: IF-THEN statements.



“Problem trees” and “Solution trees”

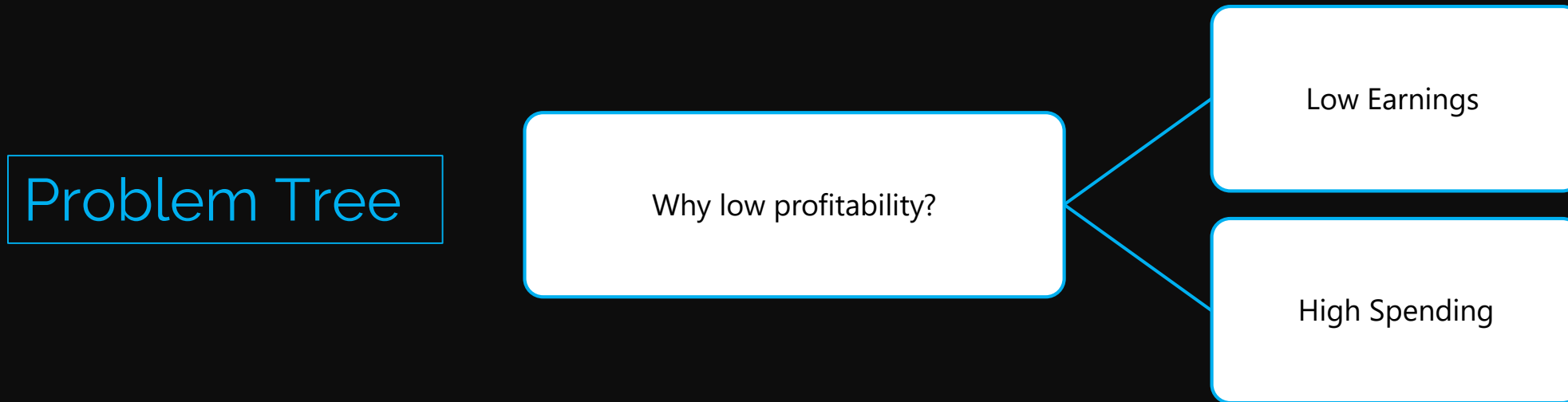
You have a PROBLEM and you want to know WHY it’s happening. Then you create a tree with all categories of HYPOTHESES of why it happened.

But you can also use Issue Trees to map out SOLUTIONS.

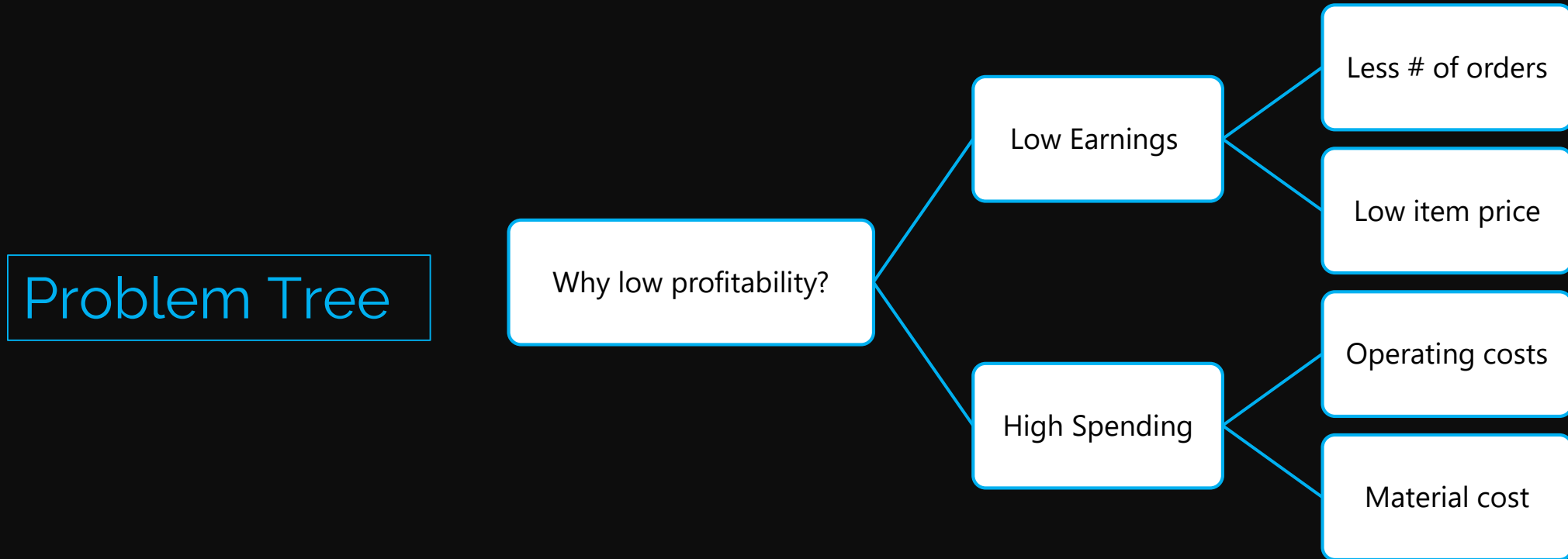
Let's solve a profitability Case!

Q. A Café XYZ is not profitable. Why is this and how can it be solved?

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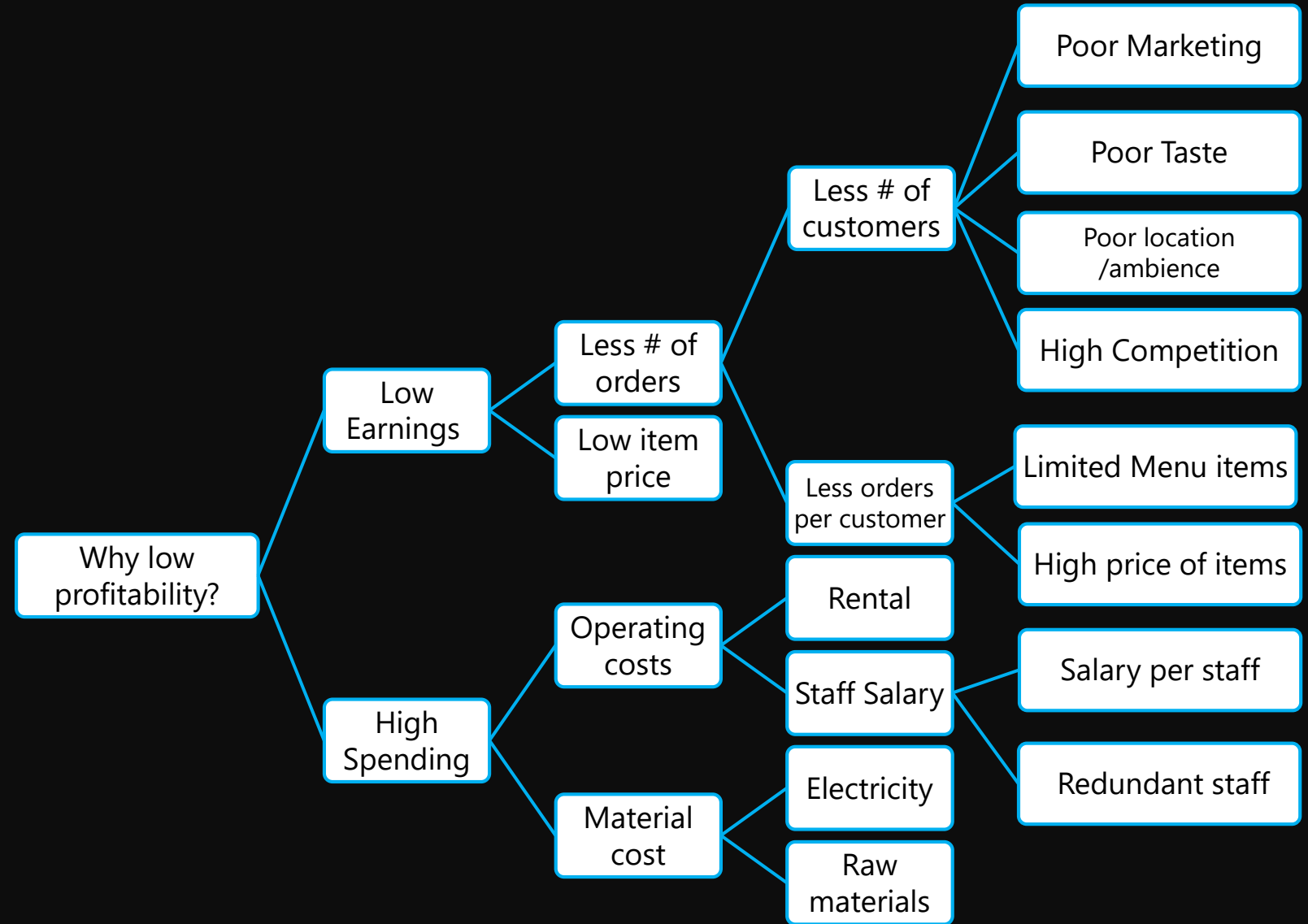


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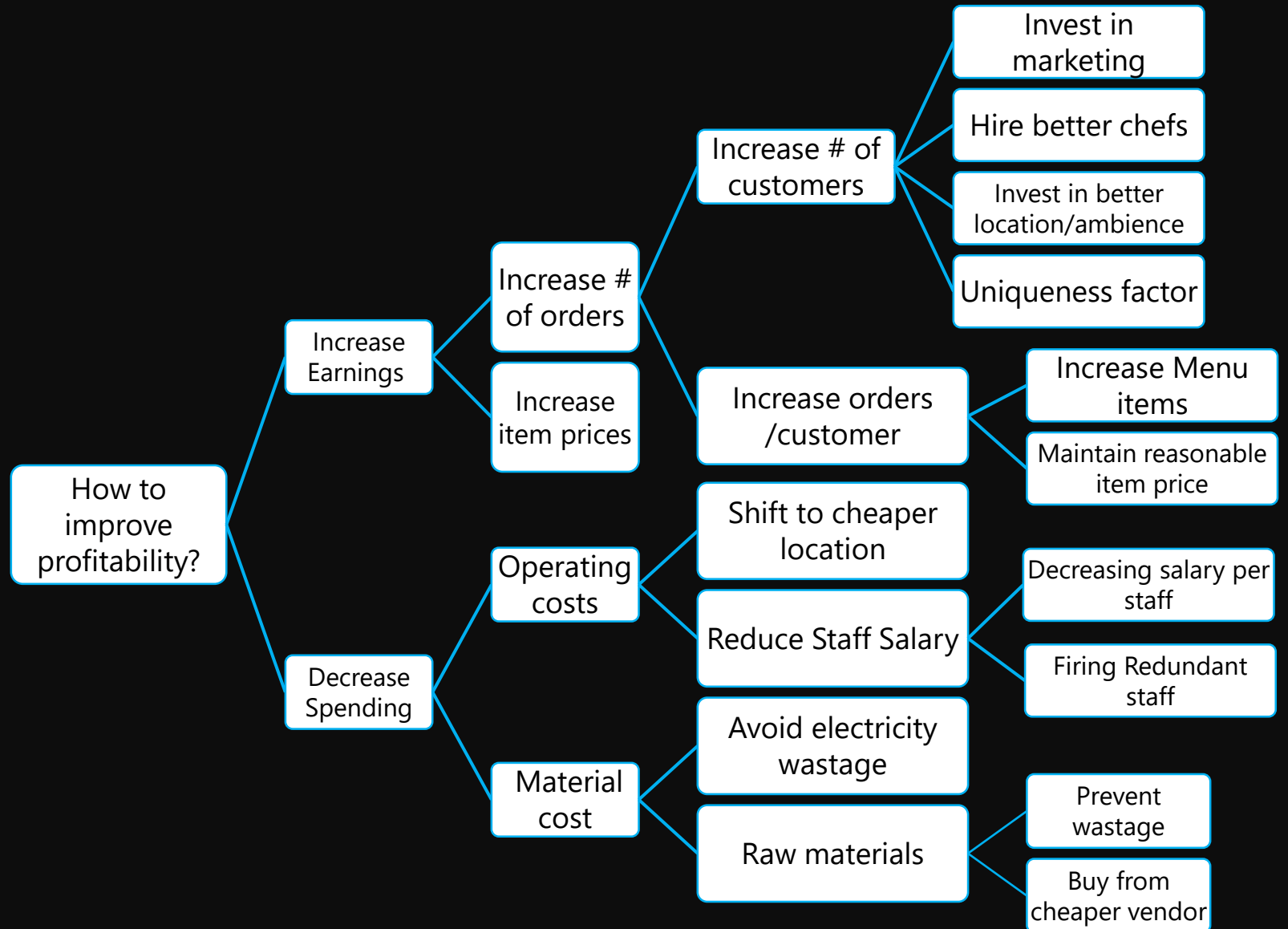
Q. A Café XYZ is not profitable. Why is this and how can it be solved?

Problem Tree



Q. A Café XYZ is not profitable. Why is this and how can it be solved?

Solution Tree



Guesstimate #2

Estimate the number of coloured television sales in India from Flipkart during Diwali season.

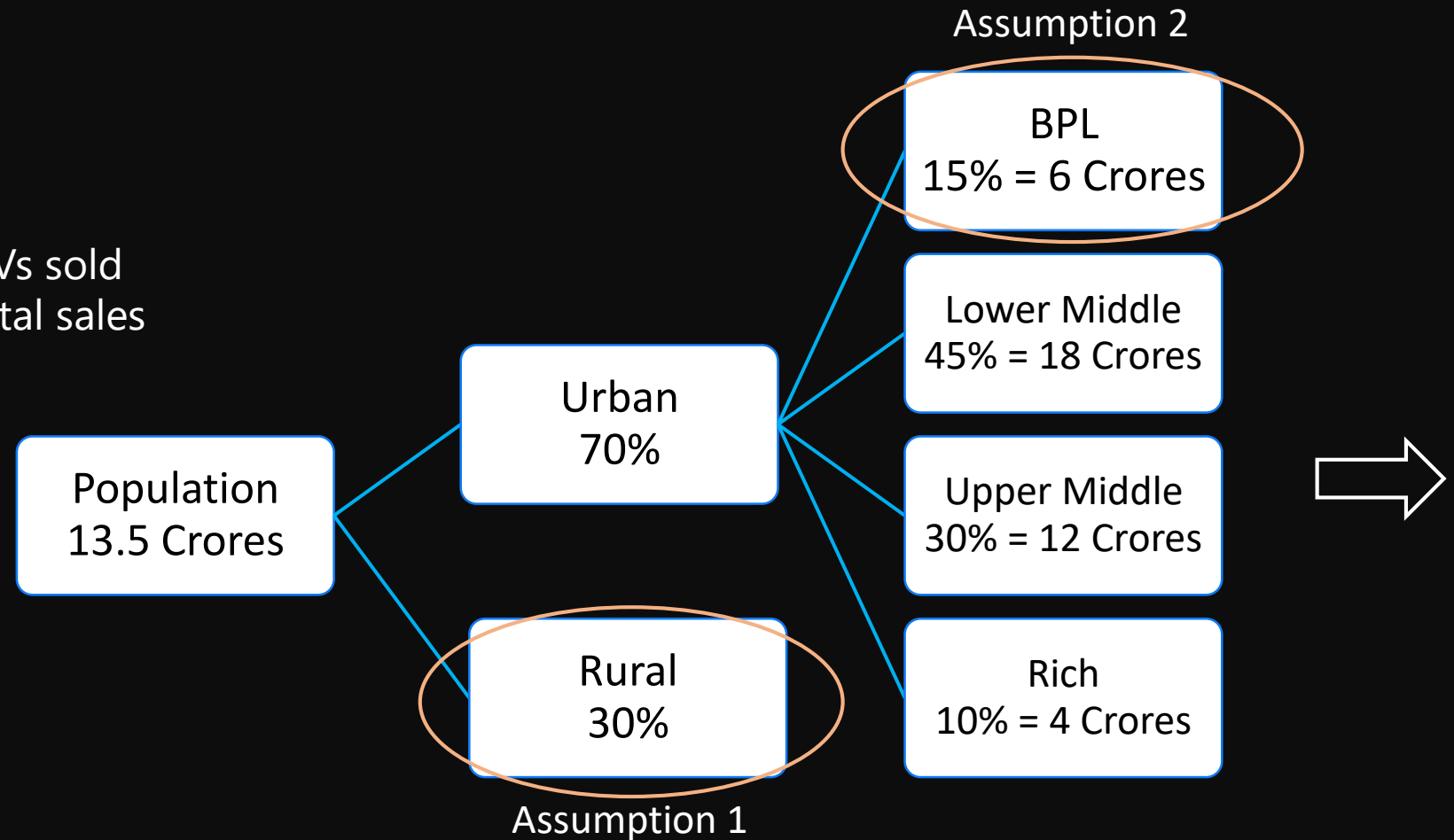
Guesstimate #2

Assumption 1

Let's assume that the number of TVs sold in rural category are 10 %of the total sales in the urban category.

Assumption 2

Let's assume BPL category can't afford to buy TVs from Flipkart!



Guesstimate #2

	Lower middle	Upper Middle	Rich
Population	18 Crores	12 Crores	4 Crores
TV per 4 people	0.8	1.2	2
= Required TVs	3.6 Crores	3.6 Crores	2 Crores
Average Lifetime	7 years	5.5 years	4 years
TV requirement in 1 year	0.5 Crores	0.65 Crores	0.5 Crores
% purchase online	20%	40%	50%
# of online purchases	0.1 Crore	0.26 Crore	0.25 Crore

Total Online purchases = 0.61 Crore

Taking market share of Flipkart as 30%,

We get 18.3 Lakhs annual coloured TV Sales.

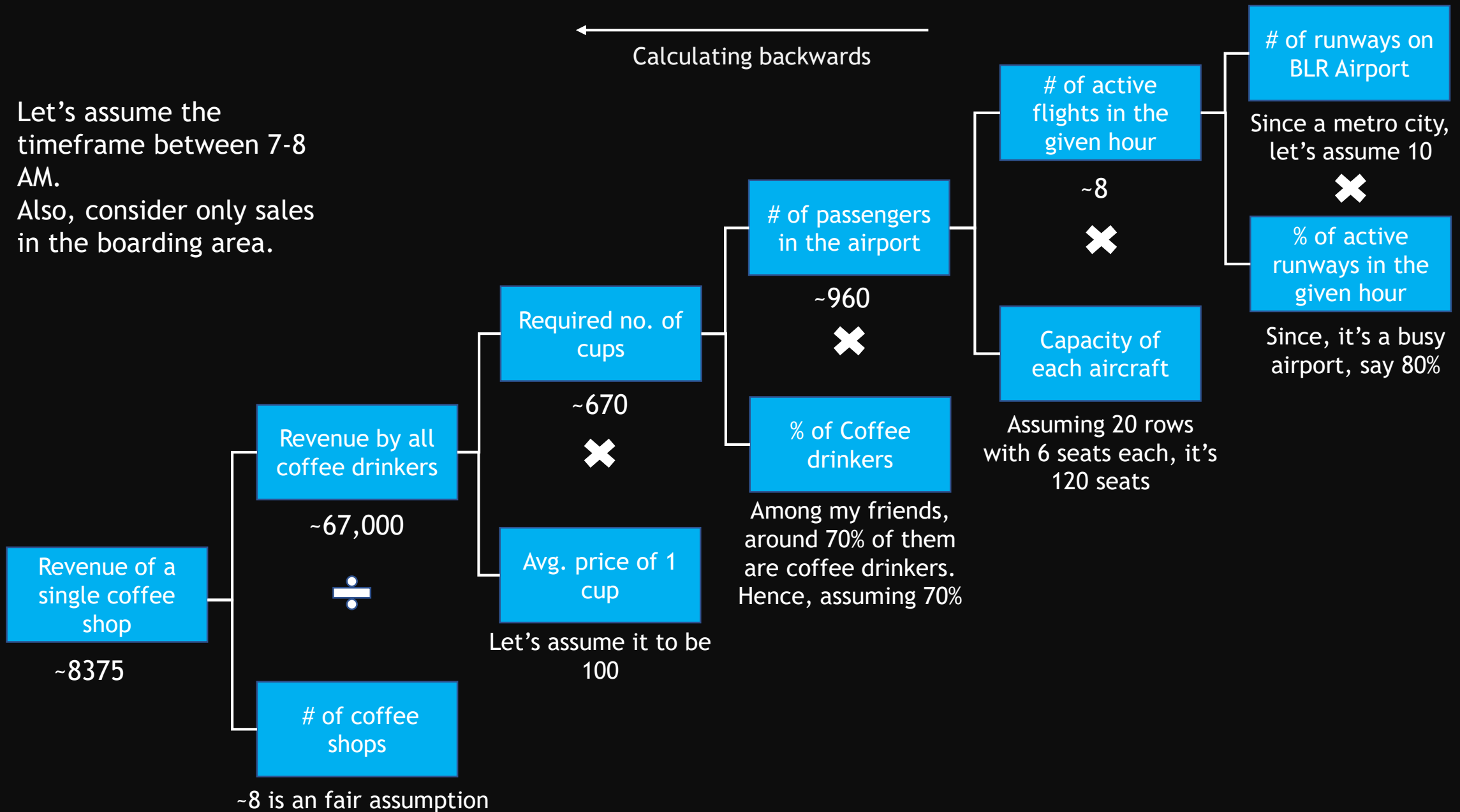
Assuming that 40% sales are during Diwali season,

We get 7.32 Lakh sales during Diwali for Urban areas. Adding 10% for Rural areas,

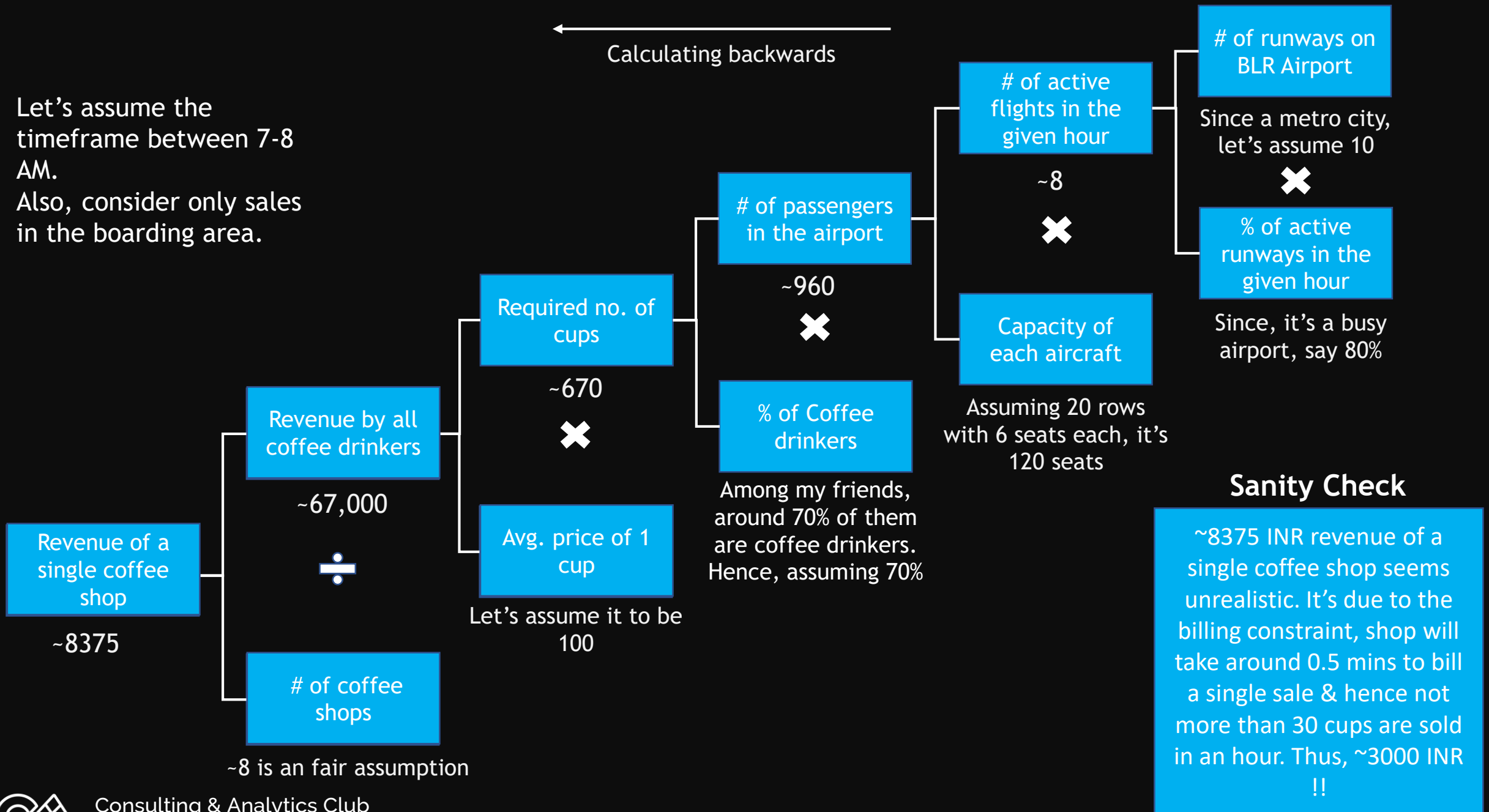
=> 8 Lakh Coloured TV Sales in India during Diwali Season

Estimate the revenue of a coffee shop at the
Bangalore Airport on a Monday morning

Let's assume the timeframe between 7-8 AM.
Also, consider only sales in the boarding area.



Let's assume the timeframe between 7-8 AM.
Also, consider only sales in the boarding area.



Few useful terms

CAGR

The **Compound Annual Growth Rate (CAGR)** is the percentage rate at which investment must grow in each year to reach a given end value over a certain amount of time.

$$CAGR = \left(\frac{\text{Ending Value}}{\text{Beginning Value}}^{\frac{1}{\text{No. of Years}}} - 1 \right) \times 100\%$$

BREAK-EVEN ANALYSIS

The gist of **Break-Even Analysis** cases is that the Fixed Costs—need to be overcome by making profit from sales of products.

RETURN ON INVESTMENT

Return on Investment (ROI) is a ratio that determines the return, from capital invested. ROI is used to assess feasibility

$$ROI = \frac{\text{Profits (Revenue - Costs)}}{\text{Capital Invested}} \times 100\%$$

NET PROFIT MARGIN

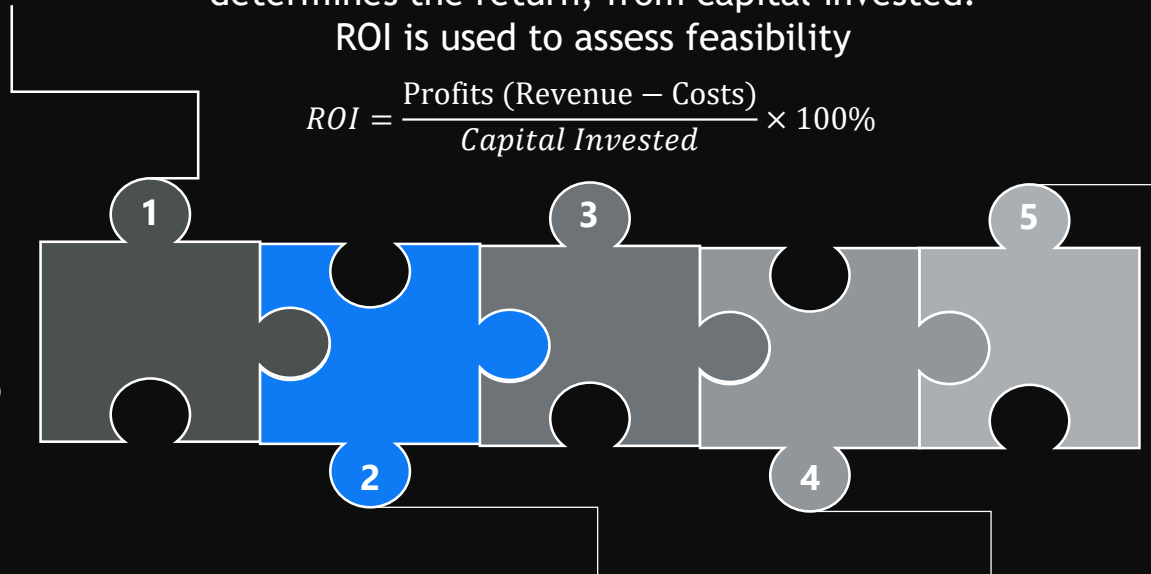
It refers to the total Net Income of a company or business line as a percentage of its Revenue

$$\text{Profit Margin} = \frac{\text{Net Profits}}{\text{Total Revenue}} \times 100\%$$

NET PRESENT VALUE

Net present value (NPV) is the difference between the present value of cash inflows and the present value of cash outflows over a period of time.

$$NPV = \sum_{t=1}^n \frac{R_t}{(1+i)^t}$$



Strategic Tools

Strategic Tools: Overview

- Strategic Tools
 - SWOT Analysis
 - PESTEL Analysis
 - Porter's 5 Force Analysis
 - Value chain analysis
 - Four Corner's
 - The Task environment
 - BCG Matrix

A great planning starts from analysing the current situation (sometimes confronting the brutal facts) and building the future upon them.

SWOT Analysis is a great tool to capture the current state of your organisation!

SWOT Analysis

Minimizing the W's and T's



SWOT Analysis

Minimizing the W's and T's



SWOT Analysis

Minimizing the W's and T's

- Decide the objective clearly.
- Get on a whiteboard and chalk out a rough analysis.
- Gather data about the current affairs of your company from different stakeholders and the industry to validate your analysis.

Internal

- Interviewing board members, executives
- Employee Feedback
- Customer Feedback
- KPI's

External

- Mega Trends (e.g. Growth of millennials)
- Industry
- Market
- Competitors Analysis



SWOT ANALYSIS



Strengths

- Globally Iconic Brand
- Customer Loyalty and Trust
- Staying ahead of current technology
- Sustainability through Liam
- Constantly expanding and quick service.
- Excellent marketing

Weaknesses

- Higher priced products
- Investigation for unfair business practices.
- Incompatibility with other software*
- Entering areas of non-competency with Apple Card and failure of Apple Maps.

Opportunities

- Consistently growing number of customers.
- Highly qualified and driven professionals.
- Smart Wearable Technology, AR/VR and AI.
- Expansion of music streaming services
- Autonomous software.

Threats

- Coronavirus pandemic.
- Supply chain disruption.
- Counterfeit products.
- US-China trade war.
- Increasing competition from Samsung, OnePlus, Google, Dell.
- Pending Class-Action lawsuits

Is SWOT enough?

- The strength of some department of a company might be a weakness for some other department.
E.g.: Farm Equipment vs IT
- Is it an opportunity or a weakness??
E.g.: Less Market Share

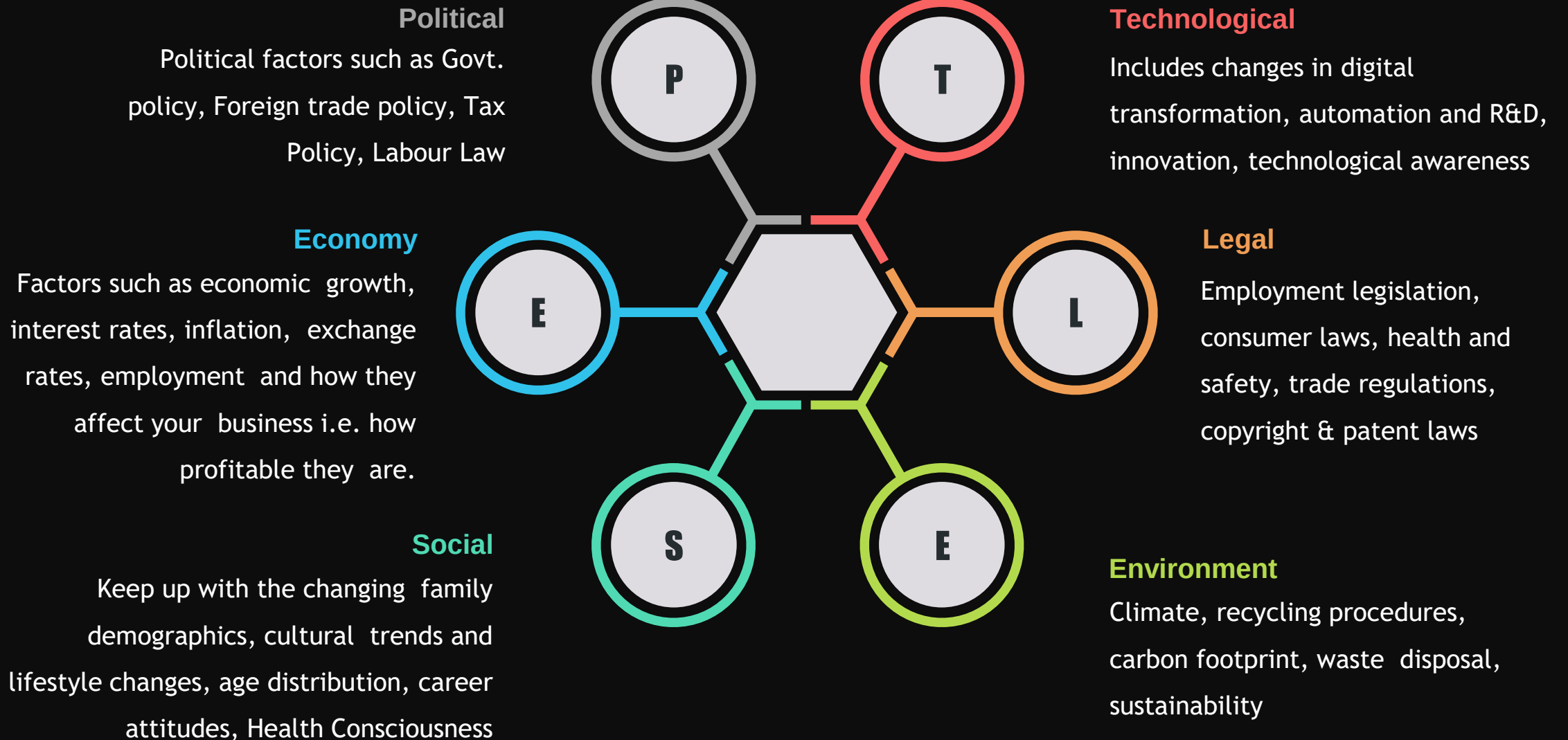
NOTE: We can further classify into external and internal to choose between weakness or opportunity.

If SWOT Analysis is so good, should we just stop here?



PESTEL Analysis

PESTEL Analysis



When do we do PESTEL?

- Starting a new business
- Entering a new market
- Entering a business with an existing company.

What does it explain?

- PESTEL Analysis is the analysis of the EXTERNAL ENVIRONMENT of an organization or business.

EXTERNAL ENVIRONMENT

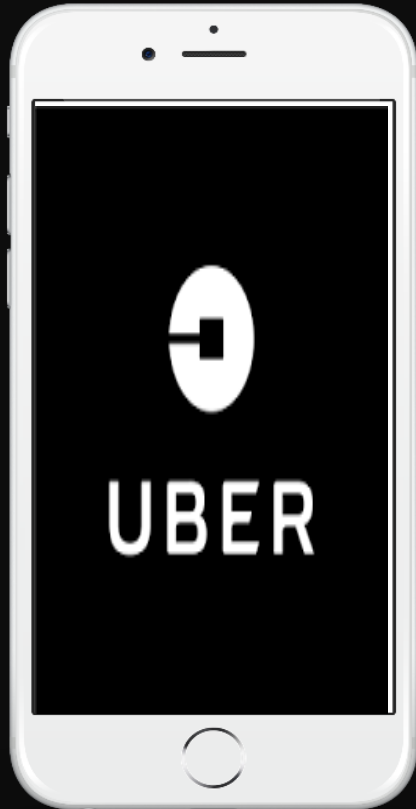
- Macro-environmental factors of a general environment.
- These factors affect your business and operations but the effect cannot be seen the other way round.
- These are generally climate, industry trends, inflation, etc.
- The company has no say on these factors.



PESTEL ANALYSIS

The Uber logo, consisting of the word "UBER" in white capital letters, is centered within a white circular frame. The background of the entire slide is a dark blue-tinted image of a car, likely a self-driving vehicle, with the text "ADVANCED TECHNOLOGIES CENTER" visible on its side. A large, semi-transparent circular graphic with a grid of small squares is overlaid on the right side of the image.

UBER



UBER



POLITICAL FACTORS

- Need to make its stand clear about driver's
- Insurance
- Have to follow minimum wage rules
- Have to deal with bans in many countries



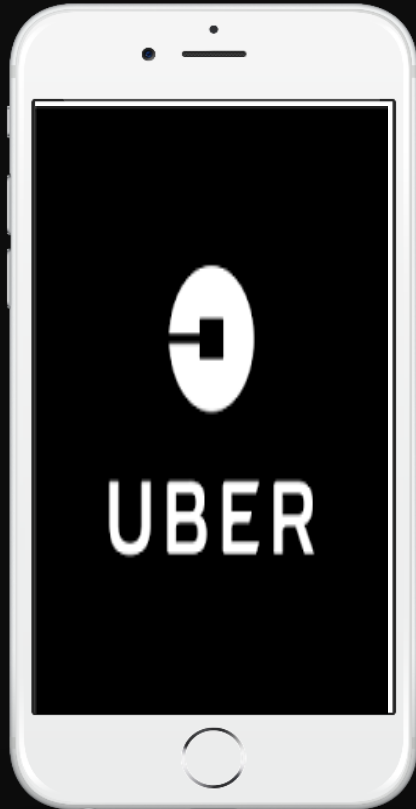
ECONOMIC FACTORS

- Easily accessible
- Affordable fare charges
- Offers job opportunities, but pay may not be convincing



SOCIO-CULTURAL FACTORS

- User friendly
- Quick pick up
- Gives better ride experience than taxis.



UBER



TECHNOLOGICAL FACTORS

- Excellent mobile app for users
- Using social media and other electronic media well for promotion



LEGAL FACTORS

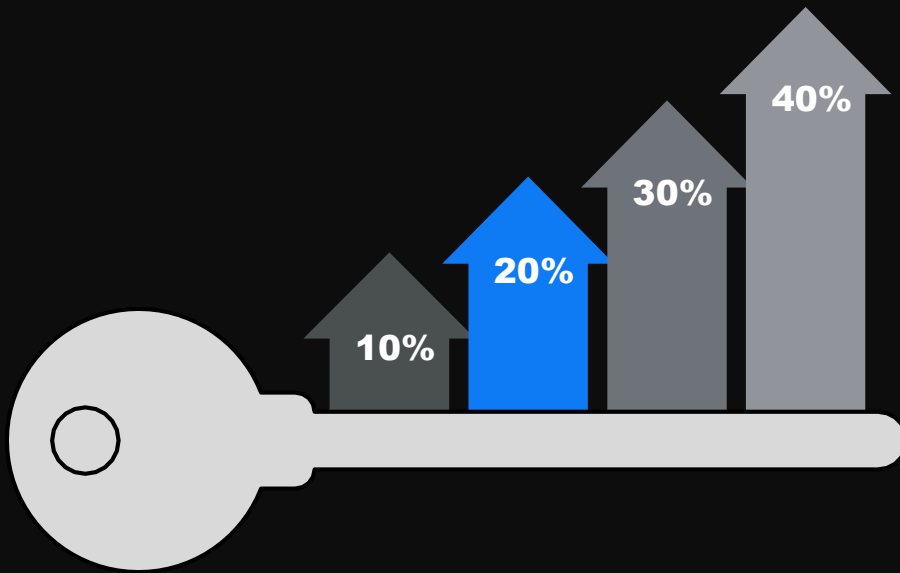
- Need to prevent ban in many countries.
- Need to follow labor and employee safety laws
- Copyright laws need to be looked at.



ENVIROMENTAL FACTORS

- Fuel usage may increase
- Traffic congestion is a concern.

Why do we need PESTEL ANALYSIS ?



PESTEL Analysis helps us identify the EXTERNAL factors that affect a company or organisation

01

METHOD TO EXPLOIT OPPORTUNITIES

Salesforce acquires Tableau in lieu of the growing admiration for Machine Learning and Artificial Intelligence.

02

AWARENESS OF RISKS

Huawei stocking chips and ICs to continue production after the emergence of trade war between India and China.

03

GOOD BUSINESS PLAN

Amazon plans of using drones for delivery of their product.

04

PROPER MARKETING

Doritos making ads without their logo to suit the ad-free movement.

Is SWOT & PESTEL enough?

- While SWOT and PESTEL analysis give us a brief understanding of what is happening inside the company and the external environment, there is another important component we are missing out. Let us call it:

Task Environment

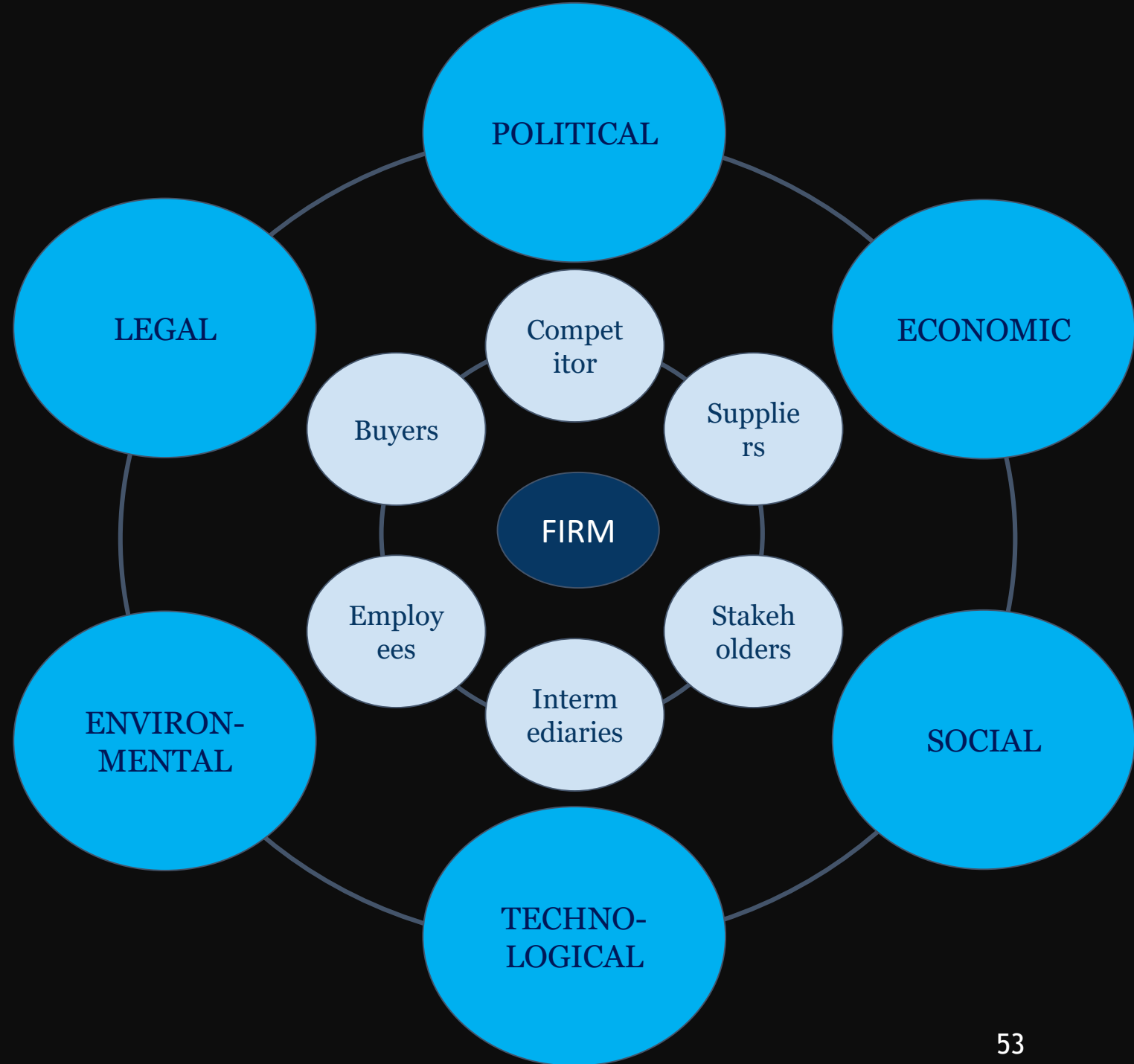
Do we just stop now, or did we miss something?



The “Environment”

Understanding the elements of an organizational environment

THE ELEMENTS OF AN ORGANISATIONAL ENVIRONMENT



The **TASK** Environment

- The outermost circle represents the external environment analyzed by PESTEL.
- The middle circle represents the TASK ENVIRONMENT, which is affected by both the company's initiatives and the external factors and is analyzed by PORTER'S 5 forces.

- PESTEL ANALYSIS describes the external environment for the organization. There is little one can do to alter the external environment.
- On the contrary, the company can take steps to alter the TASK ENVIRONMENT.

Porter's 5 Forces

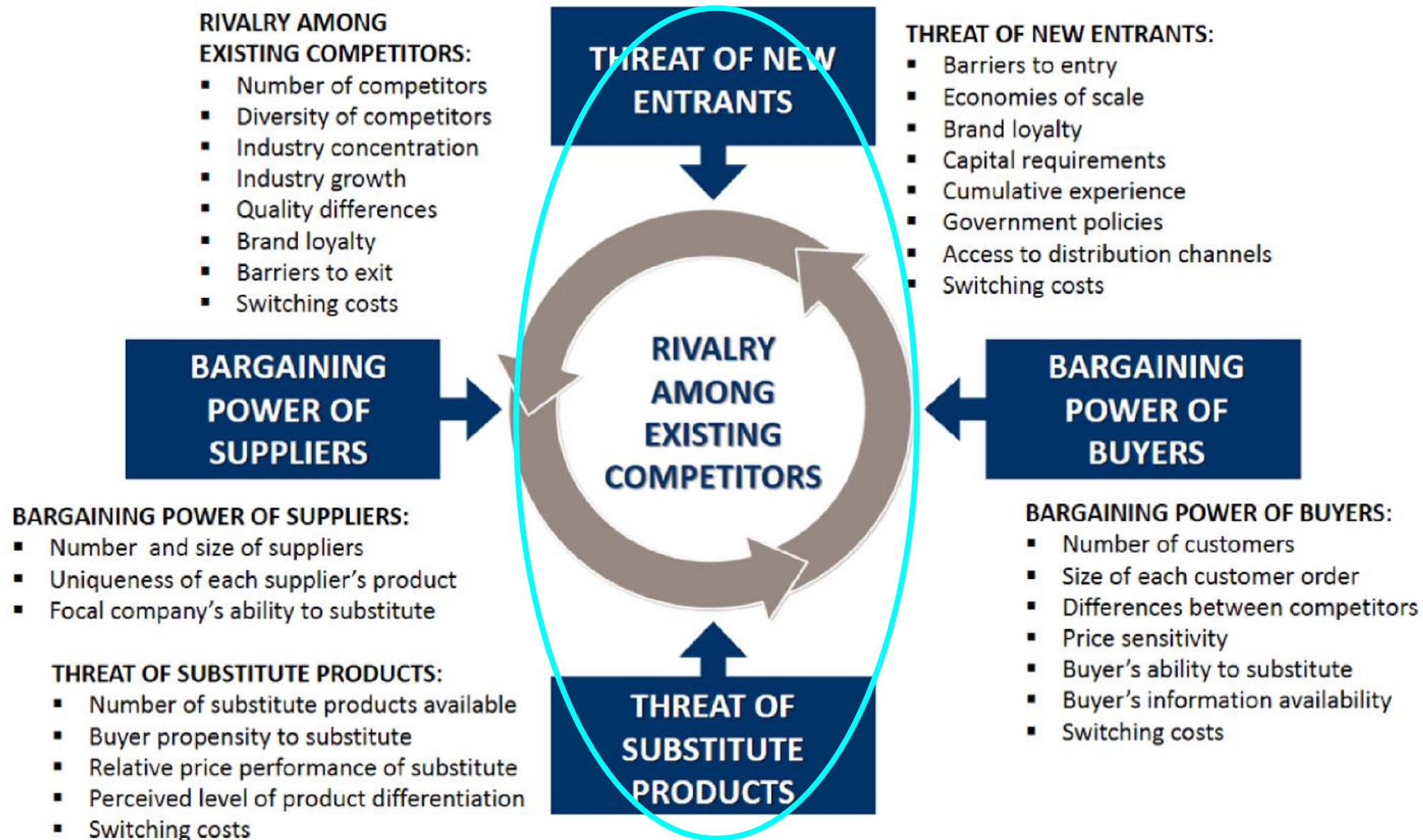
Understanding the Task Environment



Why do we need Porter's 5 ANALYSIS ?

- Understand your industry of interest.
- Identify attractive vs less attractive industries/markets.
- Identify opportunities and risks
- How profits within an industry will be distributed
- Extrapolate industry trends & anticipate changing trends









PORTER'S 5 ANALYSIS



Rivalry from existing competitors



- Large number of players (Emirates, Delta, easyJet, Etihad)
- Growth: Stagnant
- Fixed Costs: High.
- Diversity of Competitors: Low
- Size of competitors: Similar.
- Switching Costs: High
- Barriers to exit: High
- Brand Loyalty: Medium

OVERALL GRADE: HIGH

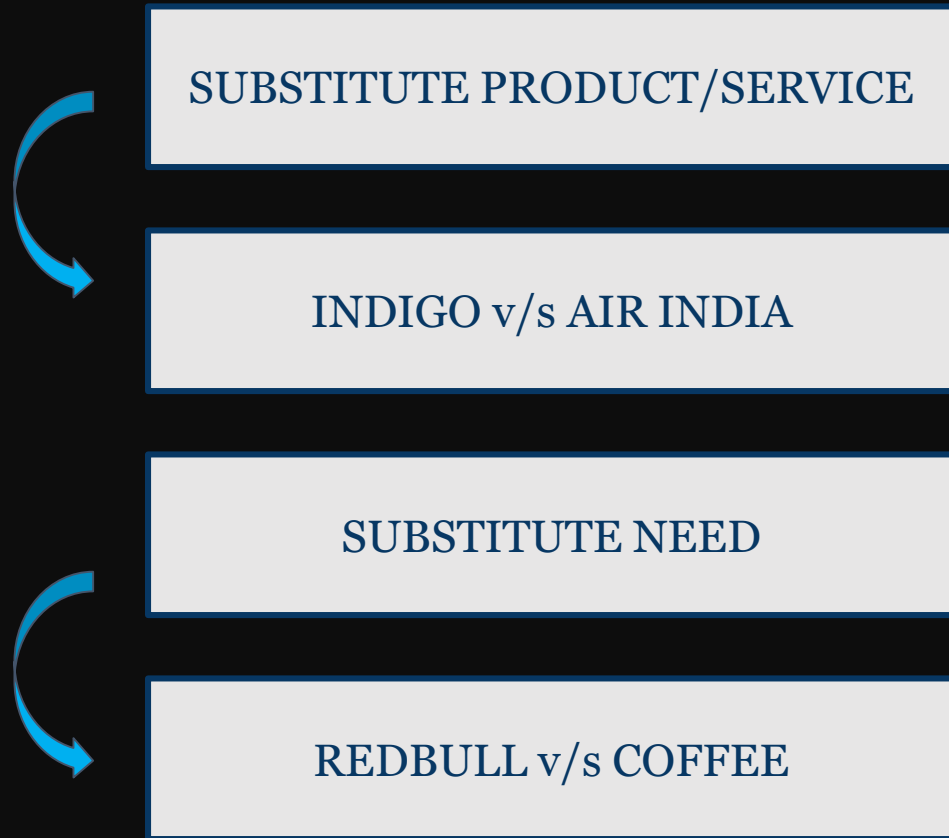
Threat of New Entrants



- Barriers to entry: High
- Economies of Scale: Takes time.
- Brand Loyalty: Medium.
- Capital Needed: High
- Govt. Policies: Tough.
- Switching Costs: High
- Access to distribution channels: (considering airports) Limited.
- Cumulative experience: Required.
- Innovation: Needed! (easyJet)

OVERALL GRADE: MEDIUM

Threat of Substitutes



- Number of substitutes: Medium
- Differentiation: Medium
- Price of substitute: Changing
- Willingness to substitute: Medium
- Switching costs: High
- Substitution of Need: Low (hyperloop, bullet trains)

OVERALL GRADE: MEDIUM-HIGH

Bargaining Power of Suppliers



- Number of suppliers: Low
(For aircrafts, Boeing and Airbus rule the market)
- Uniqueness of Supplier's product: Medium to Low
- Company's ability to substitute the supplier: Low
- Switching costs: High

OVERALL GRADE: VERY HIGH

Bargaining Power of Buyers



- Differentiation: Low
(Buyers can compare prices online)
- Switching costs: Low
(Almost zero cost of switching for buyers)
- Brand Loyalty: Medium
(People are willing to change their airline for lower costs)

OVERALL GRADE: HIGH

- Some companies have implemented customer loyalty programs.

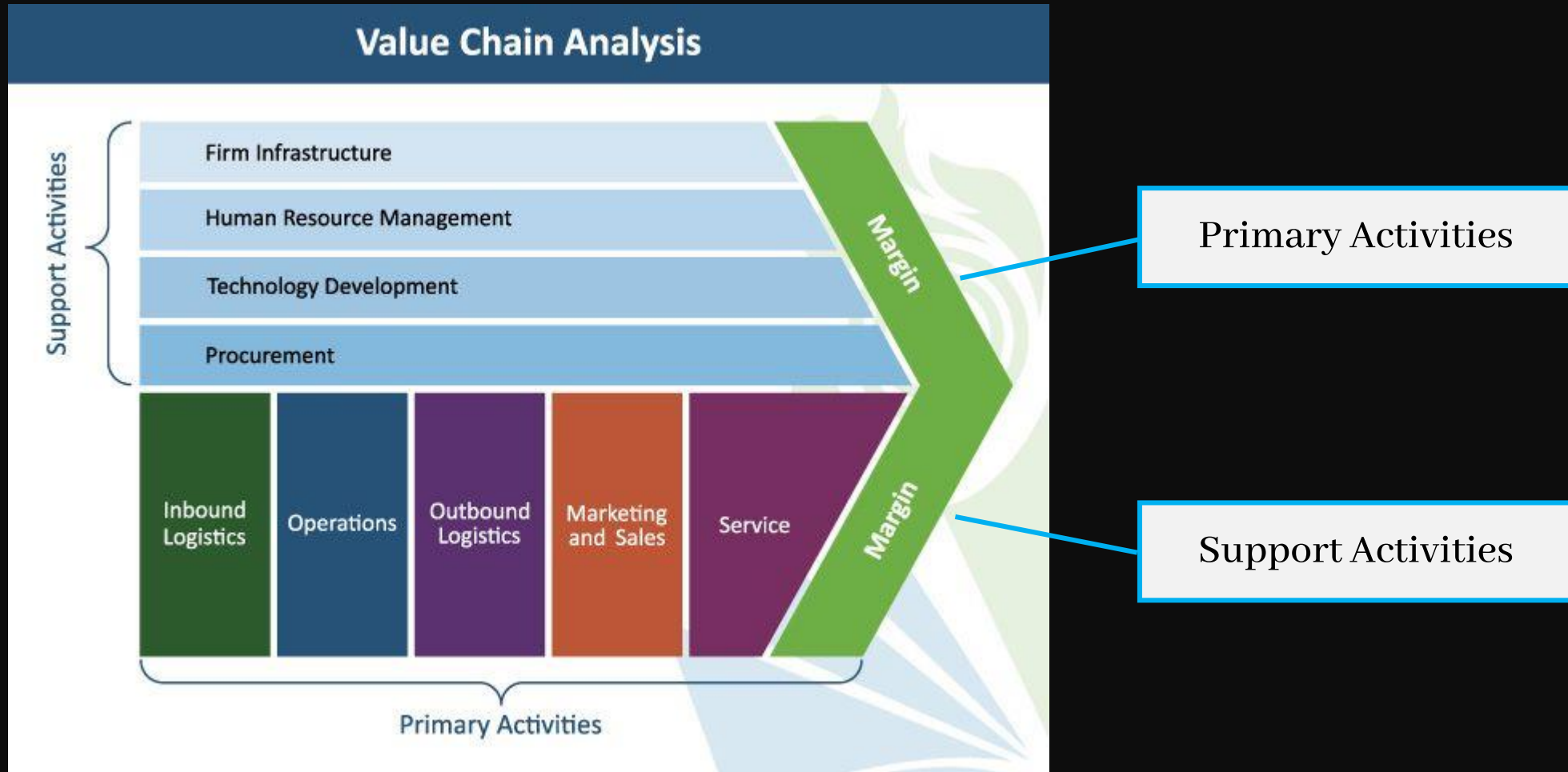
Difference between PESTEL and PORTER'S 5

The company can do something about it..!!

Value Chain Analysis

Delivering the most value for the least cost

Value Chain: Schematic



Primary

- **Inbound Logistics:**
Getting raw materials from suppliers.
- **Operations:**
Making of the product.
- **Outbound Logistics:**
Distribution & Delivery.
- **Marketing & Sales:**
Presentation of the product.
- **Services:**
Customer Support, Warranty, Guarantee.

Secondary

- **Firm Infrastructure:**
All management, finance and legal decision.
- **Human Resource Management:**
Managing employees and hiring new ones.
- **Technology Development:**
Innovation to give an edge.
- **Procurement:**
Sourcing from suppliers for the best quality possible.



VALUE CHAIN ANALYSIS



Primary

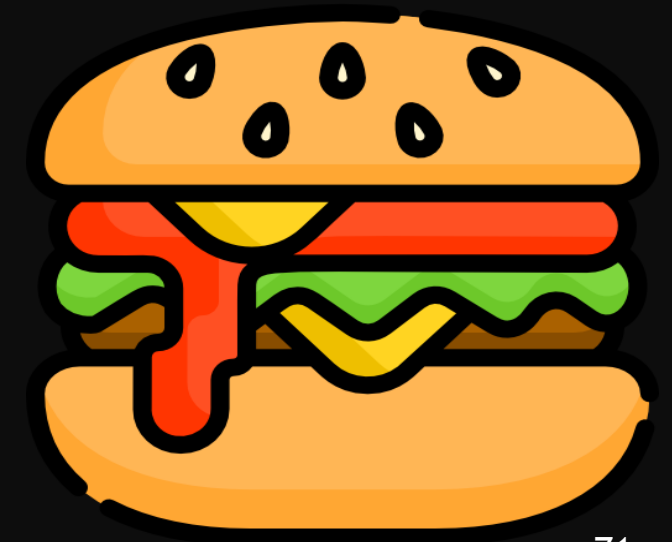
- **Inbound Logistics:**
Sources its vegetables, meat and coffee from pre-selected, low-cost suppliers.
- **Operations:**
Franchise model. 37,000 locations, each owned by a franchise.
- **Outbound Logistics:**
Fast-casual restaurants: Self, drive-through or counter-service.
- **Marketing & Sales:**
Media and print advertising.
- **Services:**
High-quality customer services

Secondary

- **Let's leave this one for homework...!!**

CLUES:

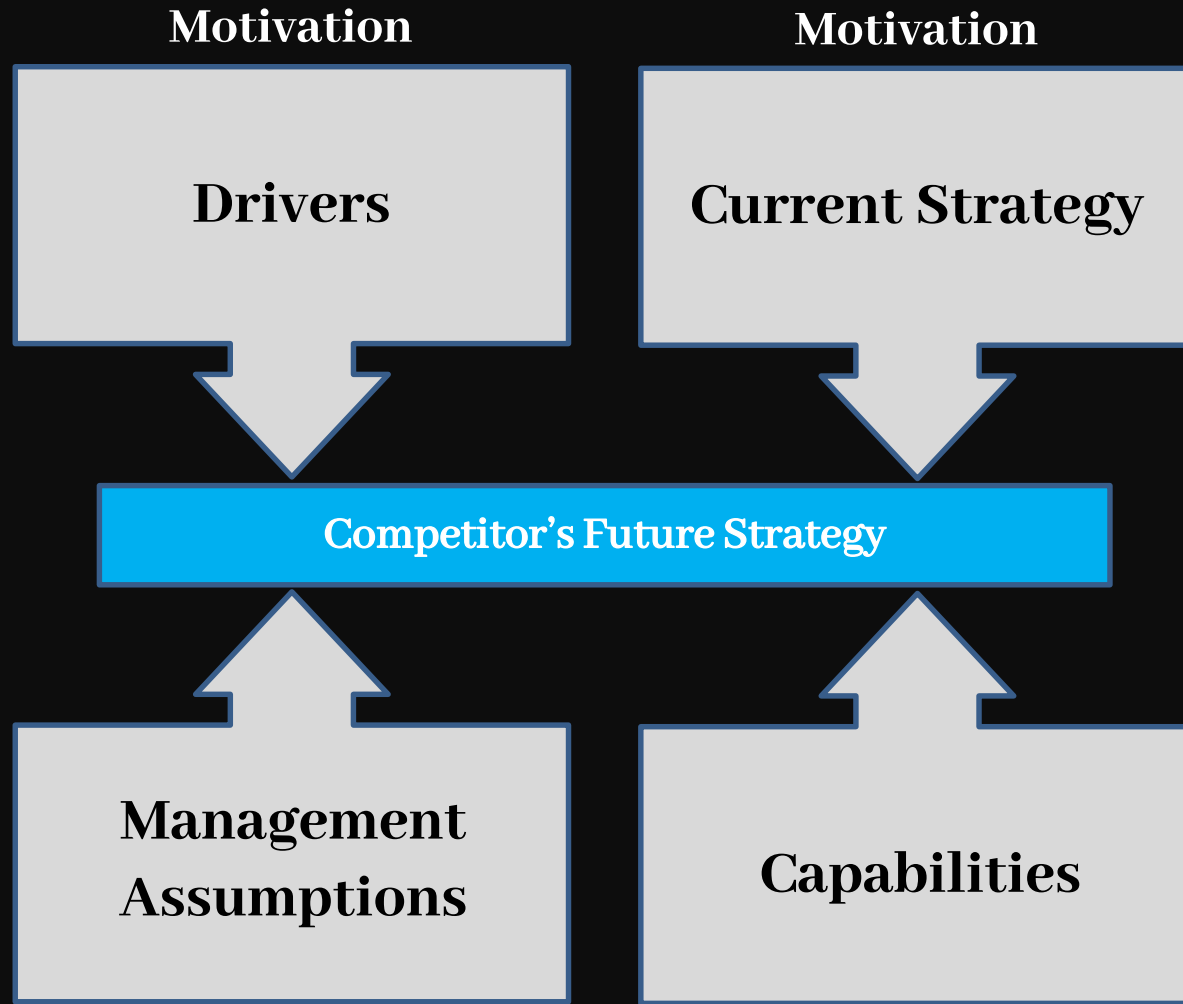
- **Hierarchy of McDonald's executives.**



Four Corners

Understanding the competitors

Four Corner's: Schematic



Corporate Strategy

Asking the most fundamental questions

The Pyramid

CORPORATE STRATEGY

Which business should I focus on?

BUSINESS STRATEGY:

How do we compete and gain competitive advantage?

TOOLS: Porter's 5, Value Chain, etc.

FUNCTIONAL STRATEGY:

How do I support the business strategy?

TOOLS: Marketing, R&D, Technology, etc.

BCG Growth Matrix

Which business to focus on?

The Matrix



- Determines path from startup to market leader.
- Company goal: To get a balanced portfolio of Question Marks, Stars and Cash Cows...!!

RELATIVE:

Here, we take the market share of the company with respect to the company with the highest market share in the industry.

THE DISTINCTION:

The distinction line is different across industries, but a general 10% would be apt.

The Factors

COMPANY COMPETITIVE



RELATIVE MARKET SHARE

MARKET ATTRACTIVENESS



MARKET GROWTH RATE

QUESTION MARKS:

- Low relative market share but high market growth rate.
- Normally how startups start.
- RISK: Might degenerate into DOGS as growth declines over the years.

STARS:

- High market share in fast growing industry, generating large cash flows.
- Indication of successfully diversified companies.
- Once growth rate declines, might change into CASH COWS!

DOGS:

- Low market share and low market growth, typically just break-even.
- This money could be used for other businesses, so businesses likely end up liquidating/divesting.

CASH COWS:

- High market share in a stagnant market, thus, high profits.
- Less growth rate->lower investments.
- Excess cash to be “MILKED.”
- Displays balance and stability.

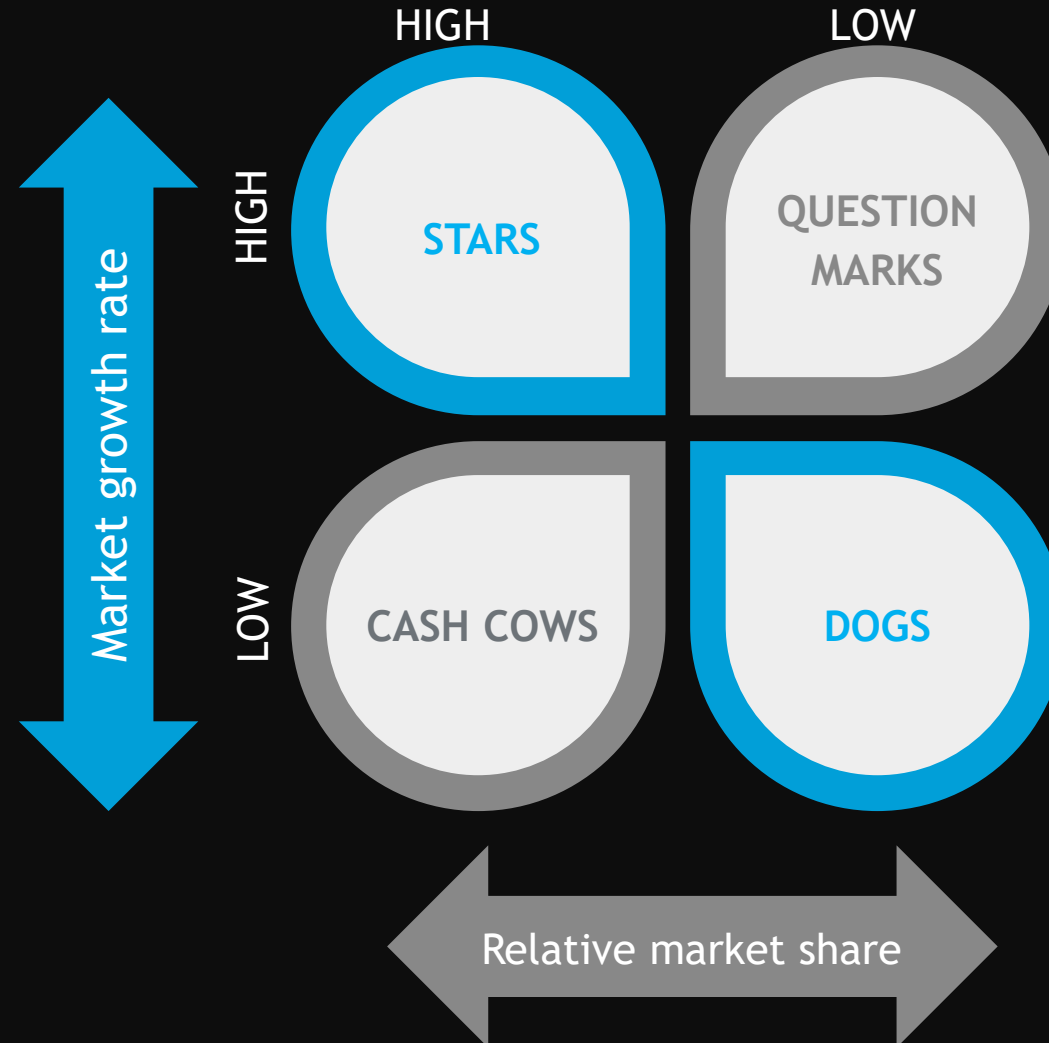
Applying BCG Matrix on Coca Cola

STARS

Its bottled water brands Kinley and Dasani are stars since they dominate the market in, respectively, Europe and the U.S. and show no signs of slowing growth.

CASH COWS

Its own titular drink is a cash cow since it experiences low growth despite its high market share, a categorization that makes sense given Coca-Cola's ubiquity among soft drinks.



QUESTION MARKS

Diet Coke and Minute Maid are question marks, as these names attract a modest audience but still have plenty of room to grow.

DOGS

Coca-Cola is also a dog, because legislation against soft drinks - not to mention public sentiment turning against them - has lessened soda sales.

Frameworks

Case Interview Frameworks: Overview

- Profitability
- Market Entry
- Pricing Strategy
- 4P Marketing Mix
- 3c Framework

Popular Case Frameworks

Merger and acquisition framework



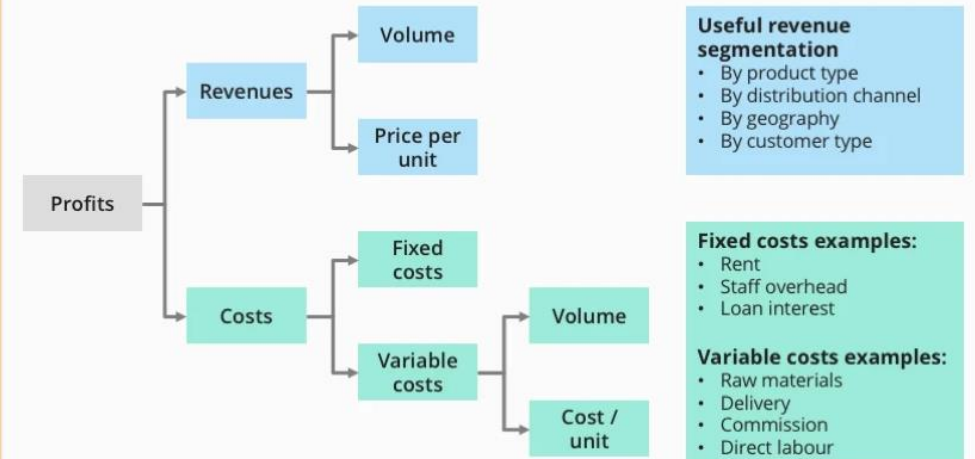
The market	The target	The buyer	Synergies and risks
• Are both companies in the same market? • Market size and growth • Market profitability • Competition intensity • Market regulation	• Current / future financial position of the target • Important assets and capabilities owned by target • Quality of target's management team • Culture of target company vs. buyer	• Acquisition rationale: undervaluation, control or synergies • Acquisition financing • Does buyer have experience with other acquisitions? • Right time to make acquisition?	• Value of individual and combined entities • Cost synergies • Revenue synergies • Biggest risks of failure

Market entry framework



Market	Client capabilities	Financials	Entry strategy
• Market size • Product types • Market profitability • Competition intensity • Market regulation	• Differences between client's current and new market • Is it the client's first new market entry? • Have other companies entered already?	• Current financial situation of the client • Cost to enter new market • Ongoing costs once market entered • Expected revenues and ROI	• Ideal timing of market entry • Do a test in a region first? • Build own company, buy competitor or do JV? • Control from head office or decentralise?

Profitability framework



Profitability Framework

- Profitability is a ratio while profit is an absolute amount
- Profit is simply the difference between revenues and costs
- Profitability refers to multiple ratios like the **EBIDTA Margin**, **Net Profit Margin**, **Gross Profit Margin**
- In essence, profitability is a measure of the efficiency of a company
- Profit Margins provide a better picture of the business performance of the company



Profitability Ratios Formula

$$\text{Gross Profit Margin} = \frac{(\text{Revenue} - \text{Cost of Goods Sold})}{\text{Revenue}} \times 100\%$$

$$\text{Net Profit Margin} = \frac{\text{PAT}}{\text{Revenue}} \times 100\%$$

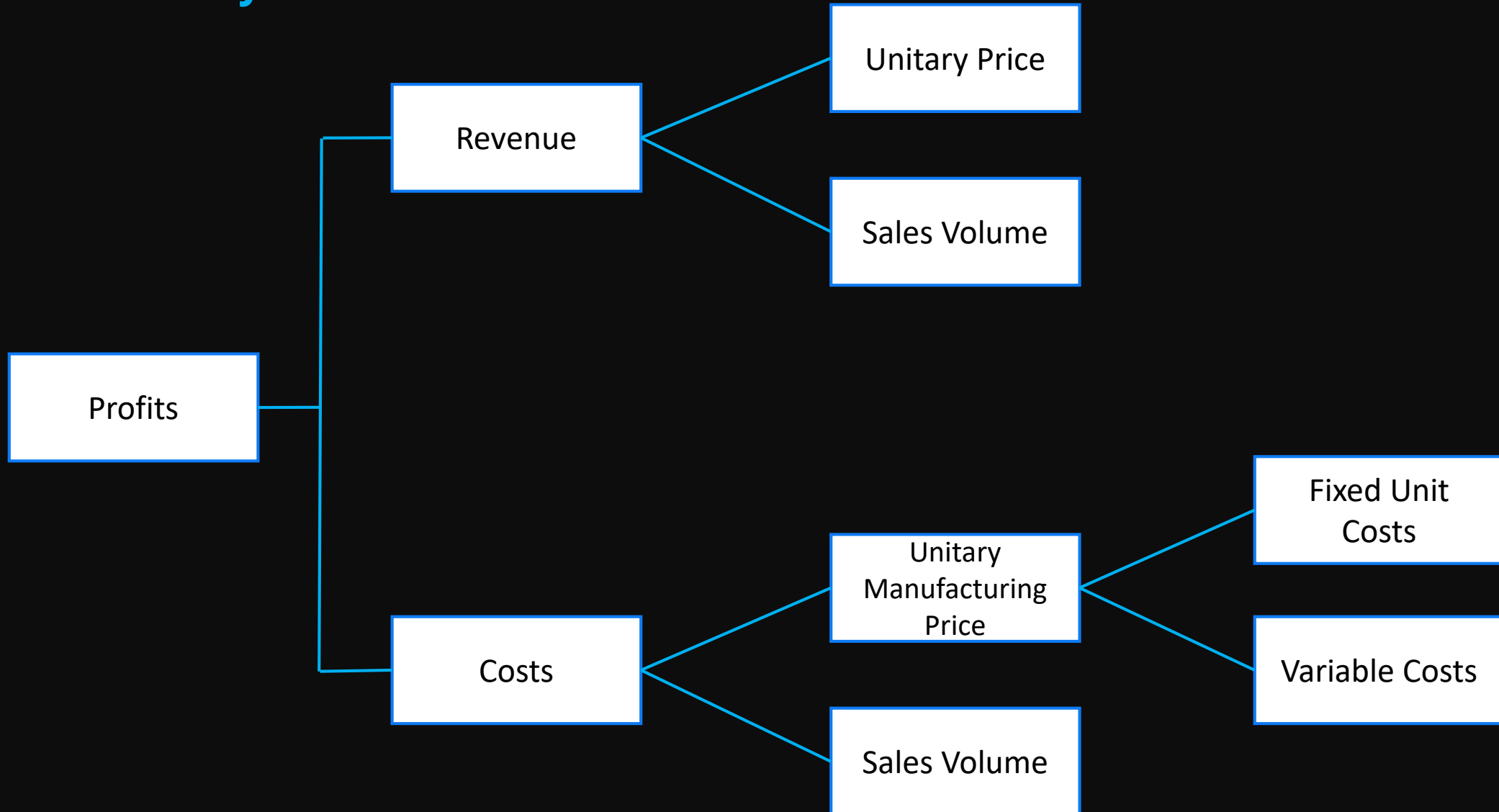
$$\text{EBITDA Margin} = \frac{(\text{PAT} + \text{Interest} + \text{Taxes} + \text{Dep \& Amort})}{\text{Revenue}} \times 100\%$$

Profitability Framework

- Quantitative Method
- Signals - profits, margins, rate of returns, costs, revenue
- Profitability frameworks starts off in the same way as a profit calculation
- Most frequently used framework

$$\text{Profit} = \text{Revenue} - \text{Costs}$$

Profitability Framework



Problem:

A telecomm is facing declining profits. How'll you approach this as a consultant?

Indicator of profitability case

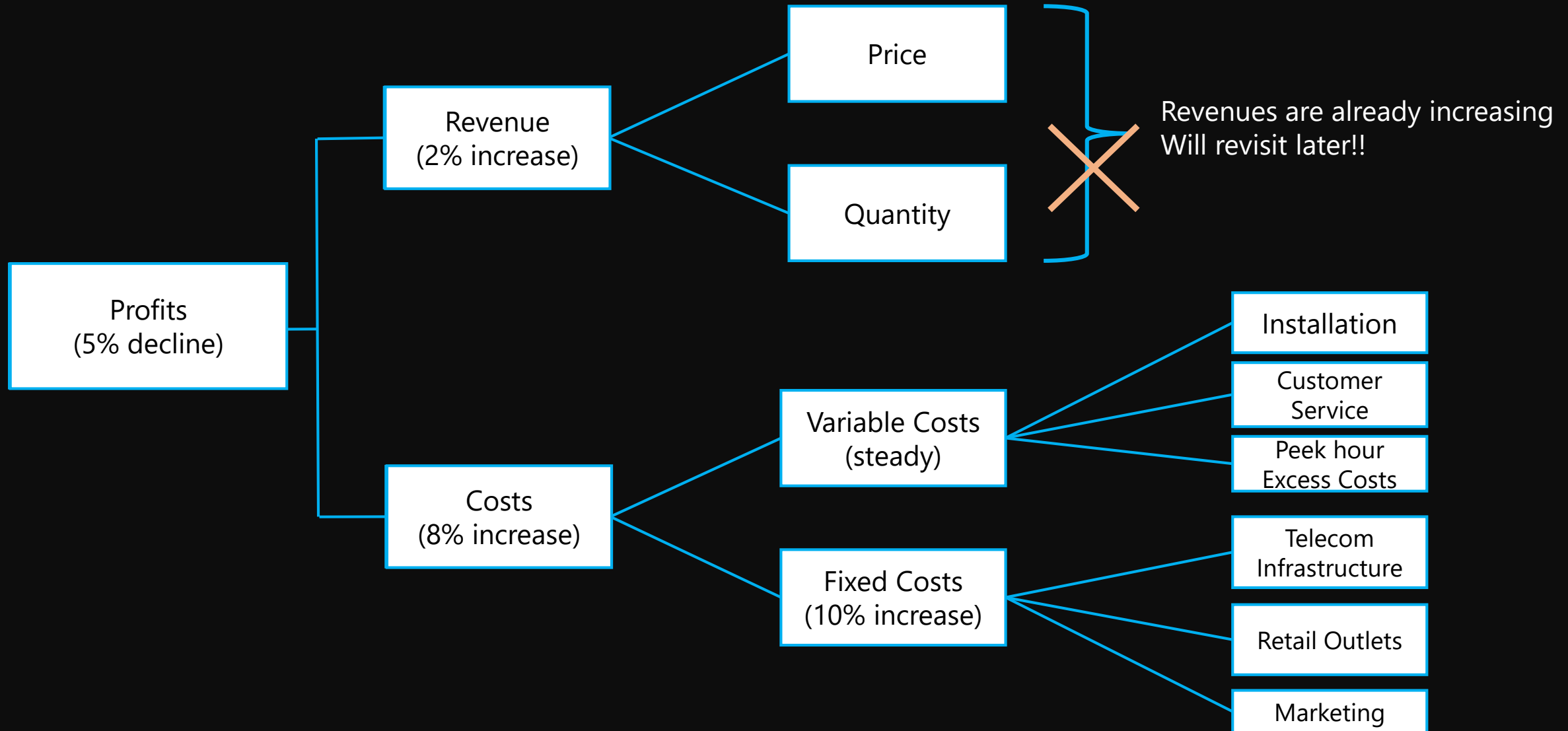
Problem:

A telecomm is facing **declining profits**.
How'll you approach this as a
consultant?

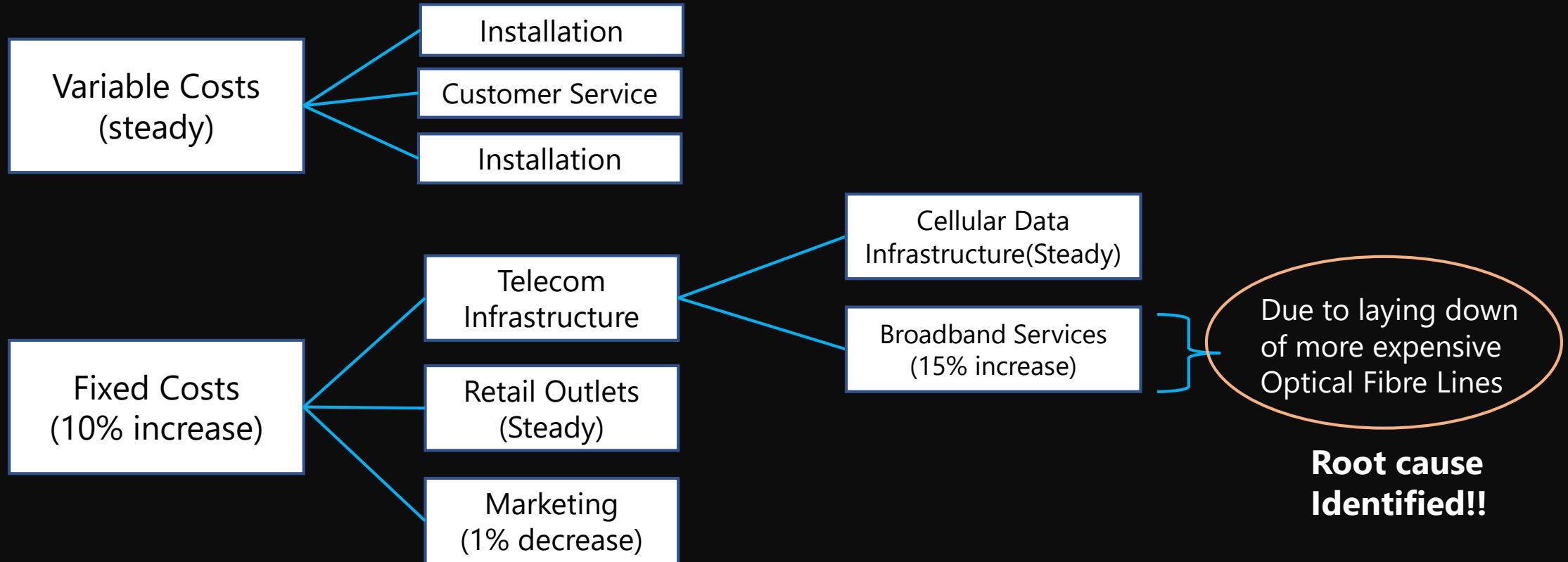
Approach

- We'll be drilling down both the main branches of revenue and cost
- We'll continue to pursue until we're reasonably sure that's not the problem.
- We will also switch branches and decide to revisit them later in case we think that's not the big factor

Problem: A telecomm is facing declining profits. How'll you approach this as a consultant?



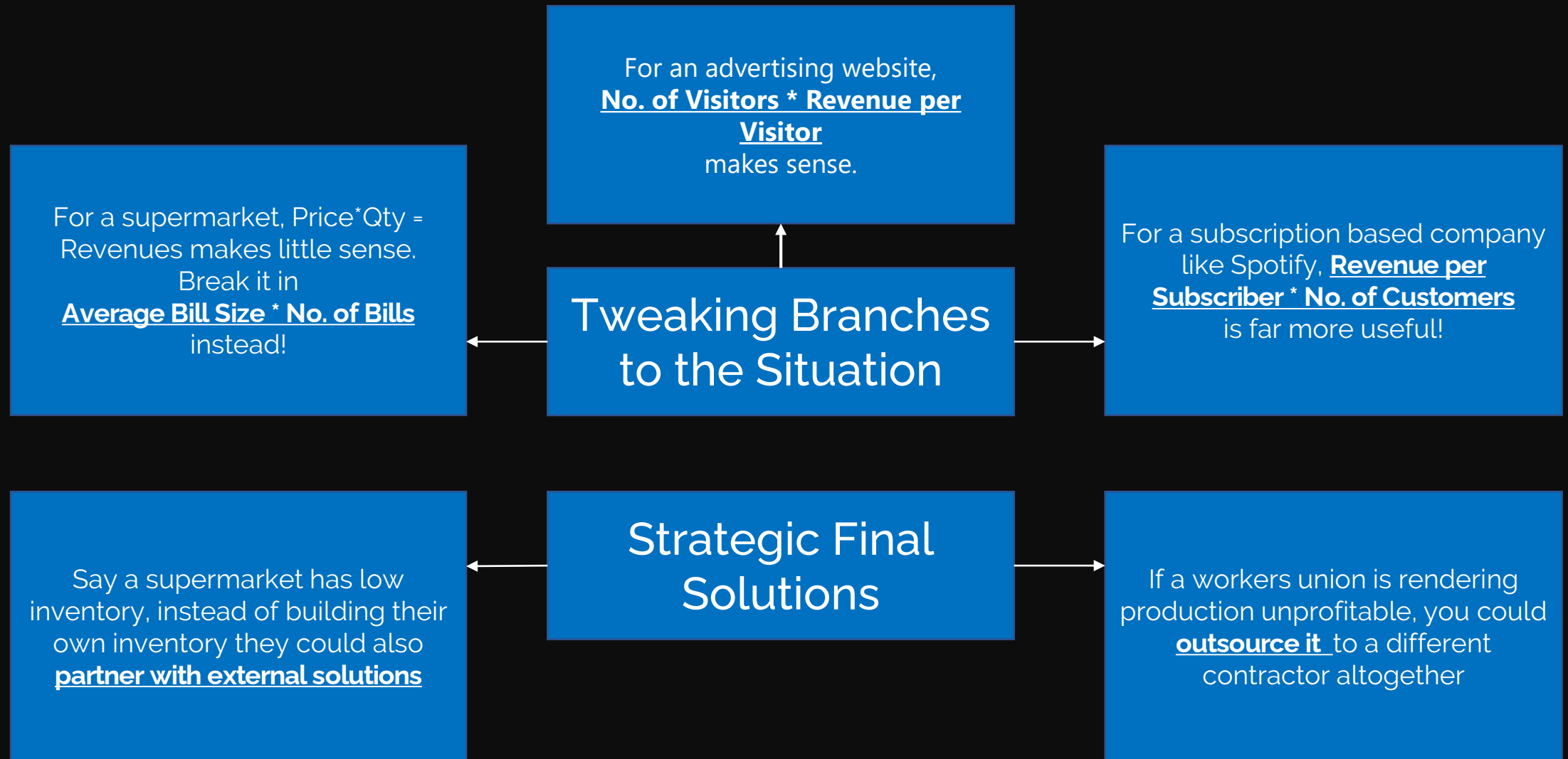
Probing Deeper in Telecom Infrastructure Costs..



Pitfalls

- Too quantitative, qualitative aspects can be missed
- Requires the use of multiple frameworks at a deeper level of the framework
- Chances are interviewer will overwhelm you with data especially in cost side
- Requires practice to end a branch at the right time
- It is easy to loose the big picture when going for a deep analysis.
- For example, we committed a **big error** in the previous case:
 - We didn't probe a little deeper into the **revenue** generated despite putting it off for later.
 - It's possible the revenue increase was due to hike in prices while we are actually **bleeding customers** or many other reasons.

Tips to optimize framework according



Market Entry Framework

- Needs to be tailored specifically to the question by the candidate.
- Is it an expansion into a new geographical area? Or is it an expansion into a new product category?
- Different goals will result in different solutions.

We need to analyse 4 broad branches in order to reach the results.



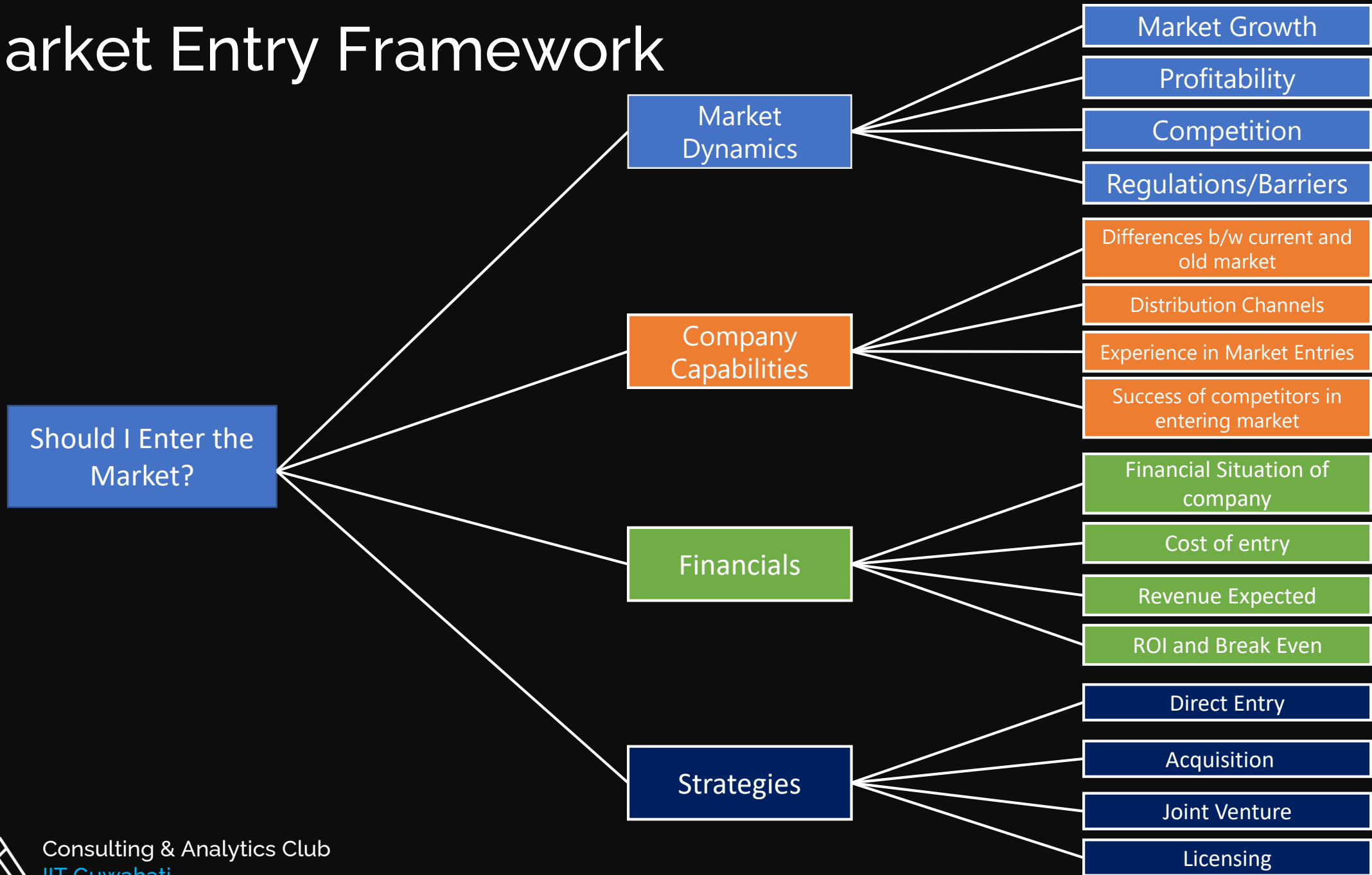
Market Dynamics

Company Capabilities

Company Financials

Possible Strategies

Market Entry Framework



Problem:

Taco Bell Expanded Rapidly and successfully in UK. Should they do it in France?

Approach/ Pre Case Clarifications

Approach –

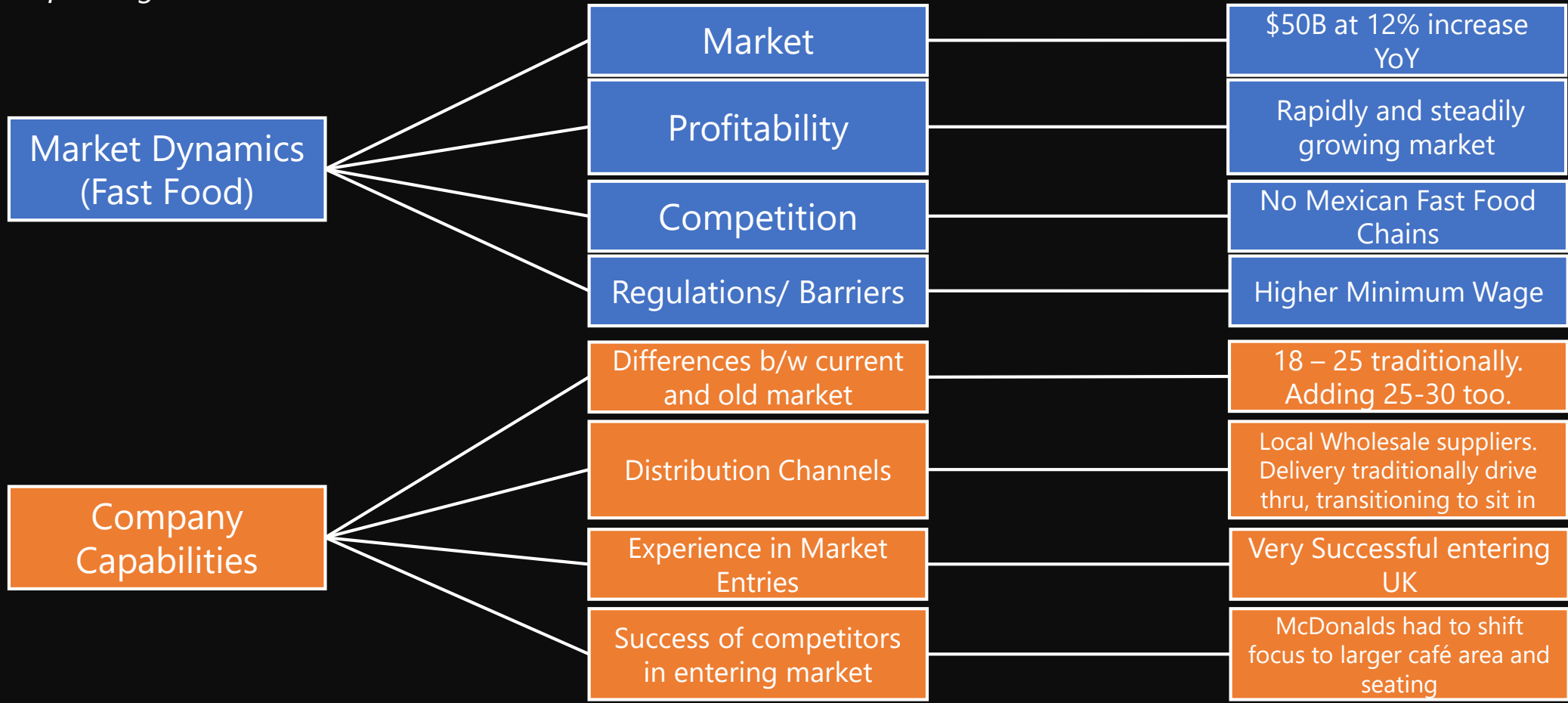
- We'll be completely drilling into each branch, one at a time to get a complete picture.
- Once we obtain a clear picture, we'll summarise the points and present a solution in line with the company's goals

To Clarify –

- What specifically are the company's goals.
- What are the core competencies of the company.

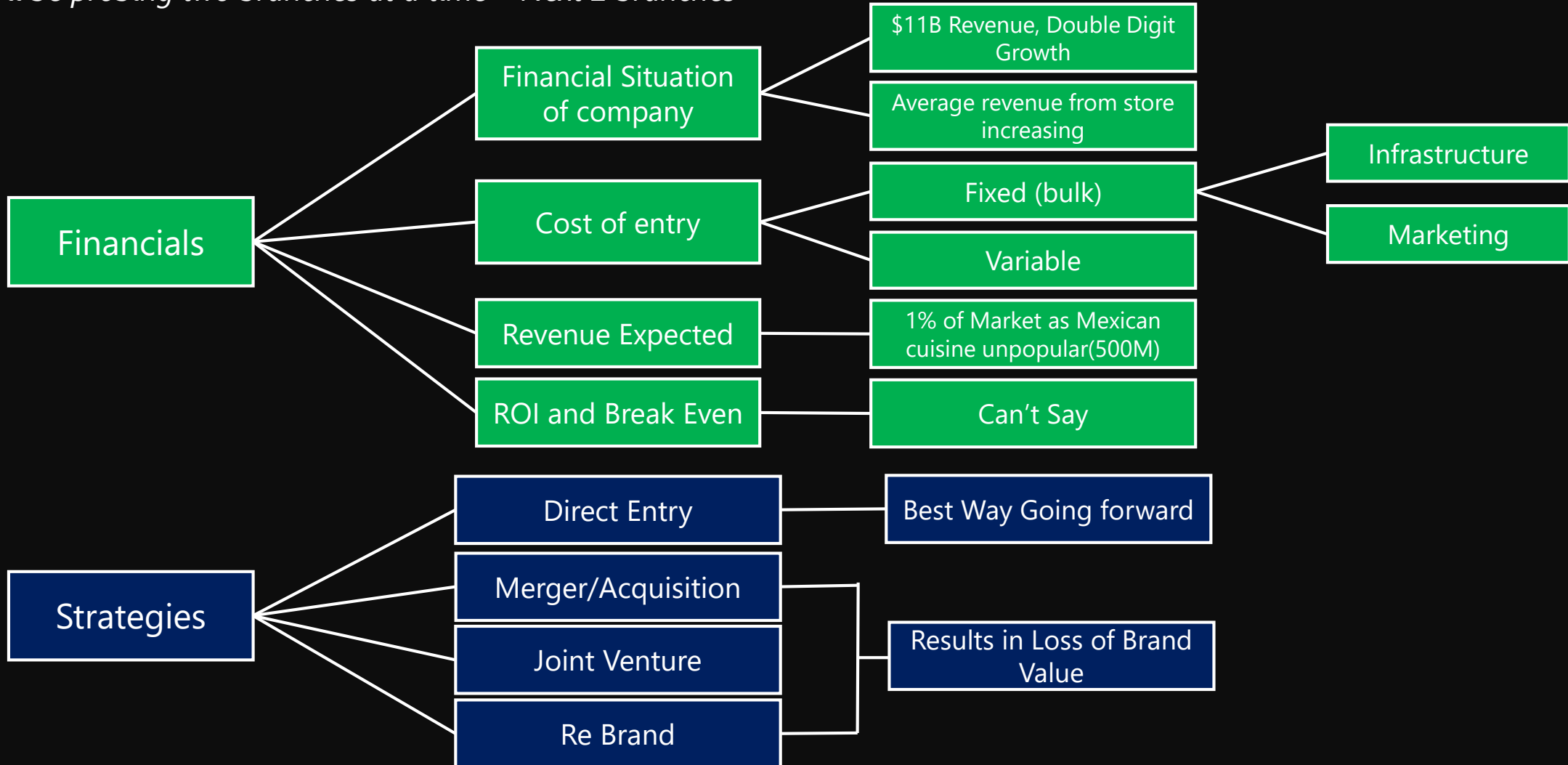
Problem: Taco Bell Expanded Rapidly and successfully in UK. Should they do it in France?

** We'll be probing two branches at a time*



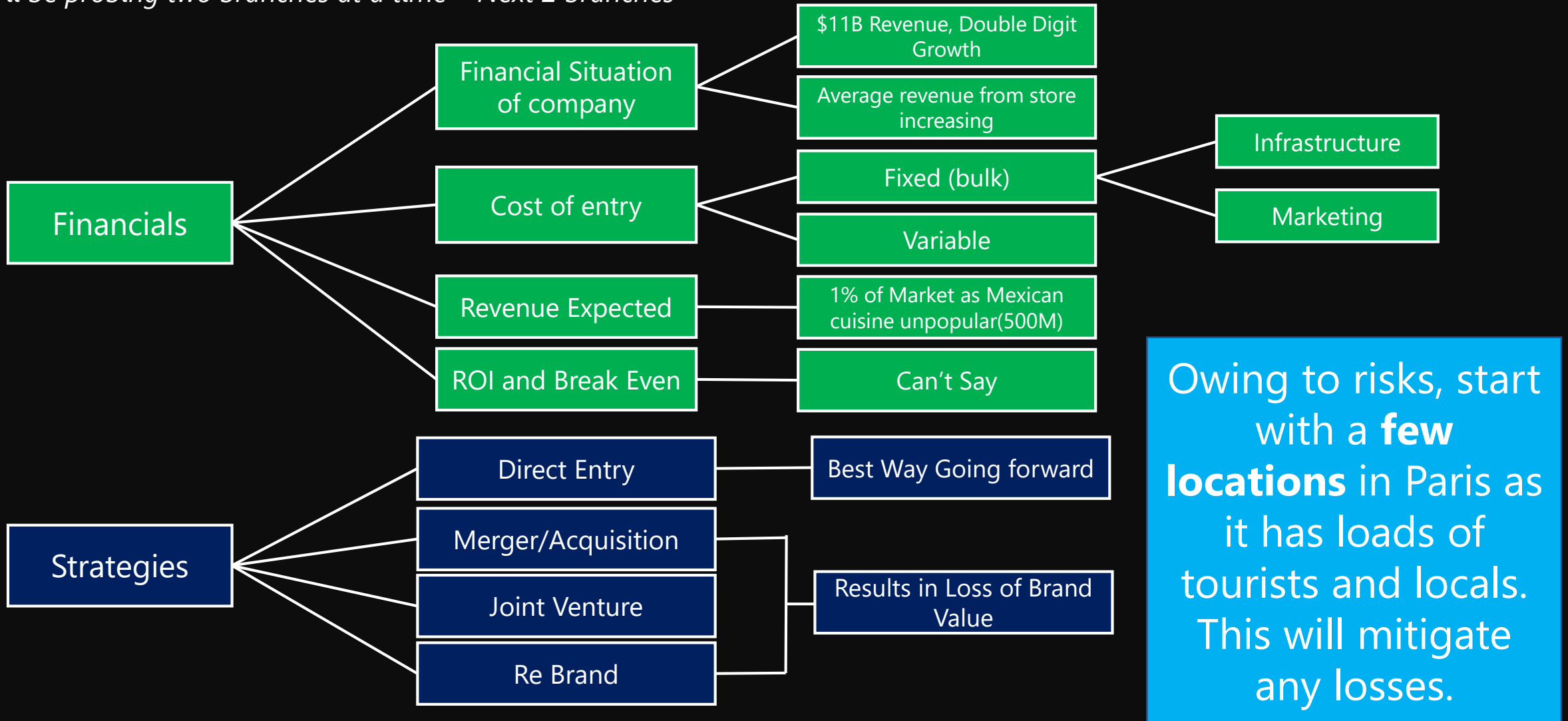
Problem: Taco Bell Expanded Rapidly and successfully in UK. Should they do it in France?

* We'll be probing two branches at a time – Next 2 branches



Problem: Taco Bell Expanded Rapidly and successfully in UK. Should they do it in France?

* We'll be probing two branches at a time – Next 2 branches



Pitfalls

- Needs to be very well customized to the specific goal.
- Needs high level of business intuition and familiarity with industry
- More on the qualitative side. Business Intuition is necessary
- Results in a very large issue tree and it's easy to loose track of the original question.

Tips to Optimize Framework to the Case

- Ask the interviewer some questions which are not directly a part of the framework, like what's the vision of the company/How much in control do they want to be of operations?
- During the final answer try and delve deeper into the strategy for example by differentiating between franchise and contract manufacturing under Licensing
- Acknowledge the existing business model of the company. Suggesting McDonalds (Franchise Based) to go for a direct Investment entry is not advisable.

Pricing Strategies Framework

- Different goals require inherently different Pricing strategies
- **Price Elasticity** : The ratio of percentage change in demand vs the unit's percentage change in price.
- Product segments often determine the price elasticity dynamics of every product



Pricing Strategy Framework

Deciding Pricing

Company

Market Position

Company's Position

Company's Goal

Maturity Level

Growth

Leader/New Entrant etc

Market Share/ Profits/
Revenue Growth

Product

Difference in Product

Alternatives (products or
destruction of service)

Product Lifecycle Stage

Foreseeable Supply and
Demand

Diff in Production

Diff in Features & USP

Alternate Products

Rendered Obsolete

Competition

Comparable Products

Customer Habits

Competitor's Costs

Effect on Competitor's
Pricing

Price Comparison

Features /USP Comparison

Price Elasticity/ General
behaviour

Higher/ Lower/Similar

Drastic Changes/ Hold
Steady

Pricing Strategies

Cost Based Pricing

Value Based Pricing

Break Even

Cost Price

Profit Margin

What can Customers Pay

Value Levels

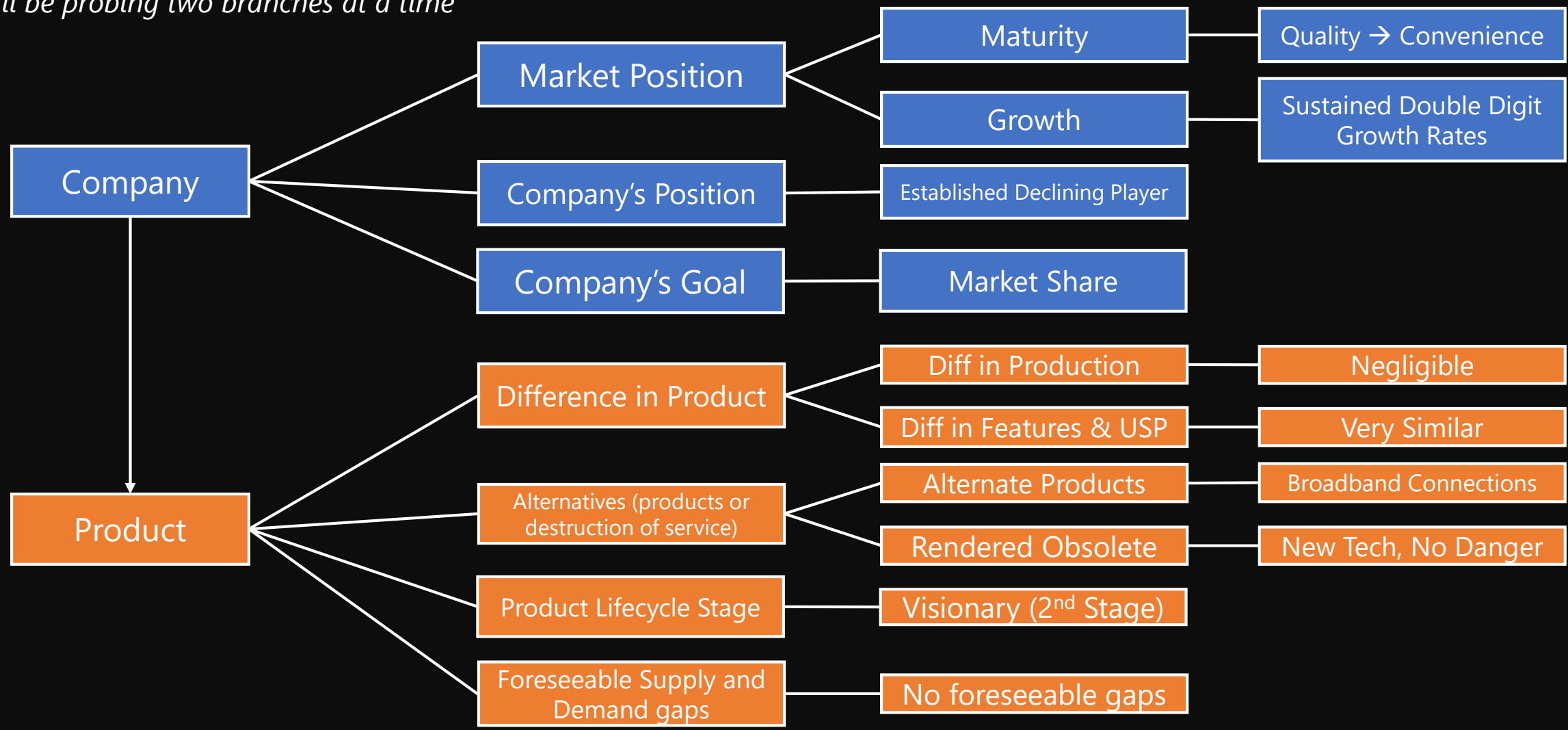


Business Situation

A formerly Dominant Internet Services Provider has asked for your help to decide the pricing of it's new Fiber-Optic Cable Internet Services to once again have the largest market share in India.

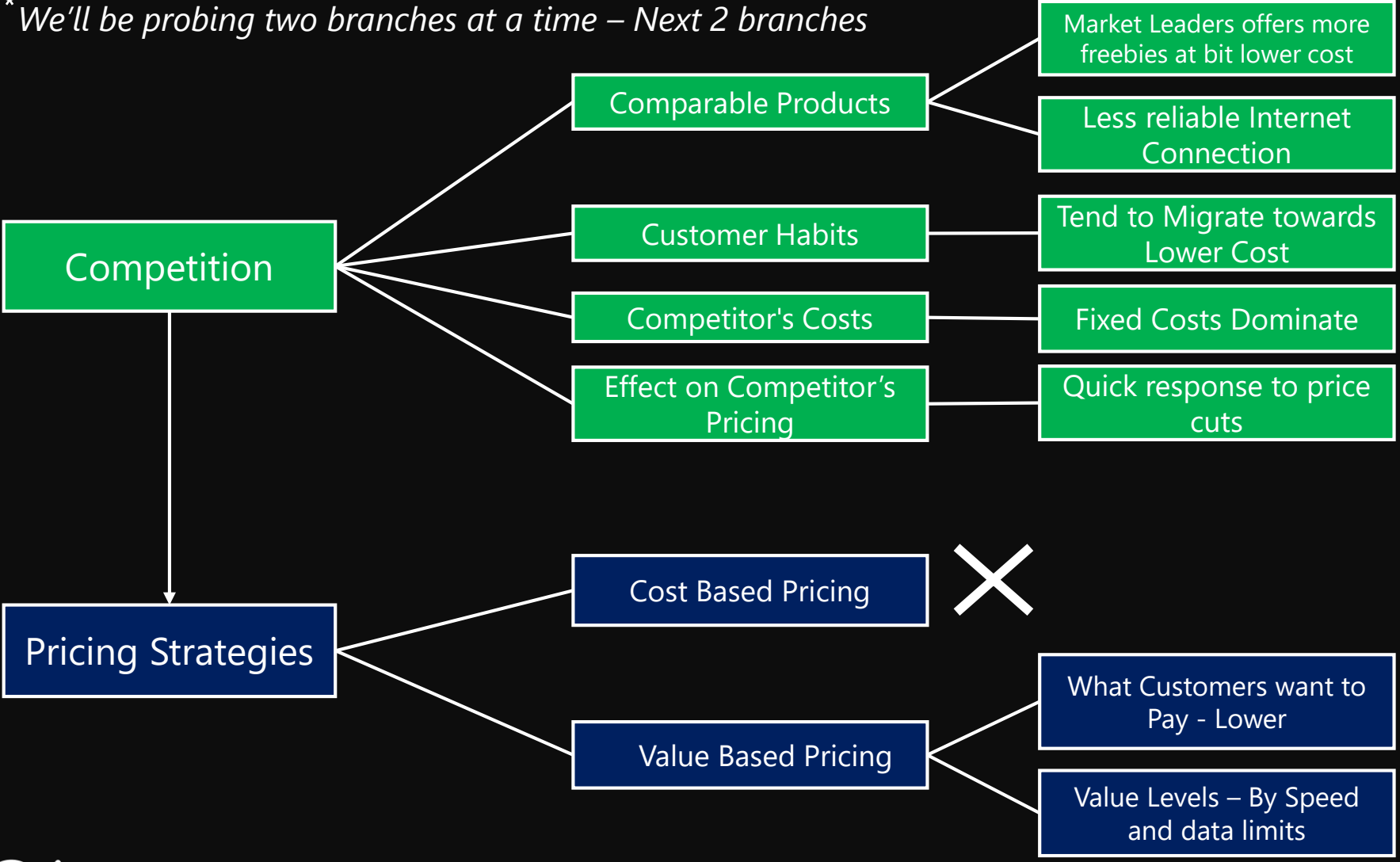
Situation: A formerly Dominant Internet Services Provider has asked for your help to decide the pricing of it's new Fiber-Optic Cable Internet Services to once again have the largest market share in India.

** We'll be probing two branches at a time*



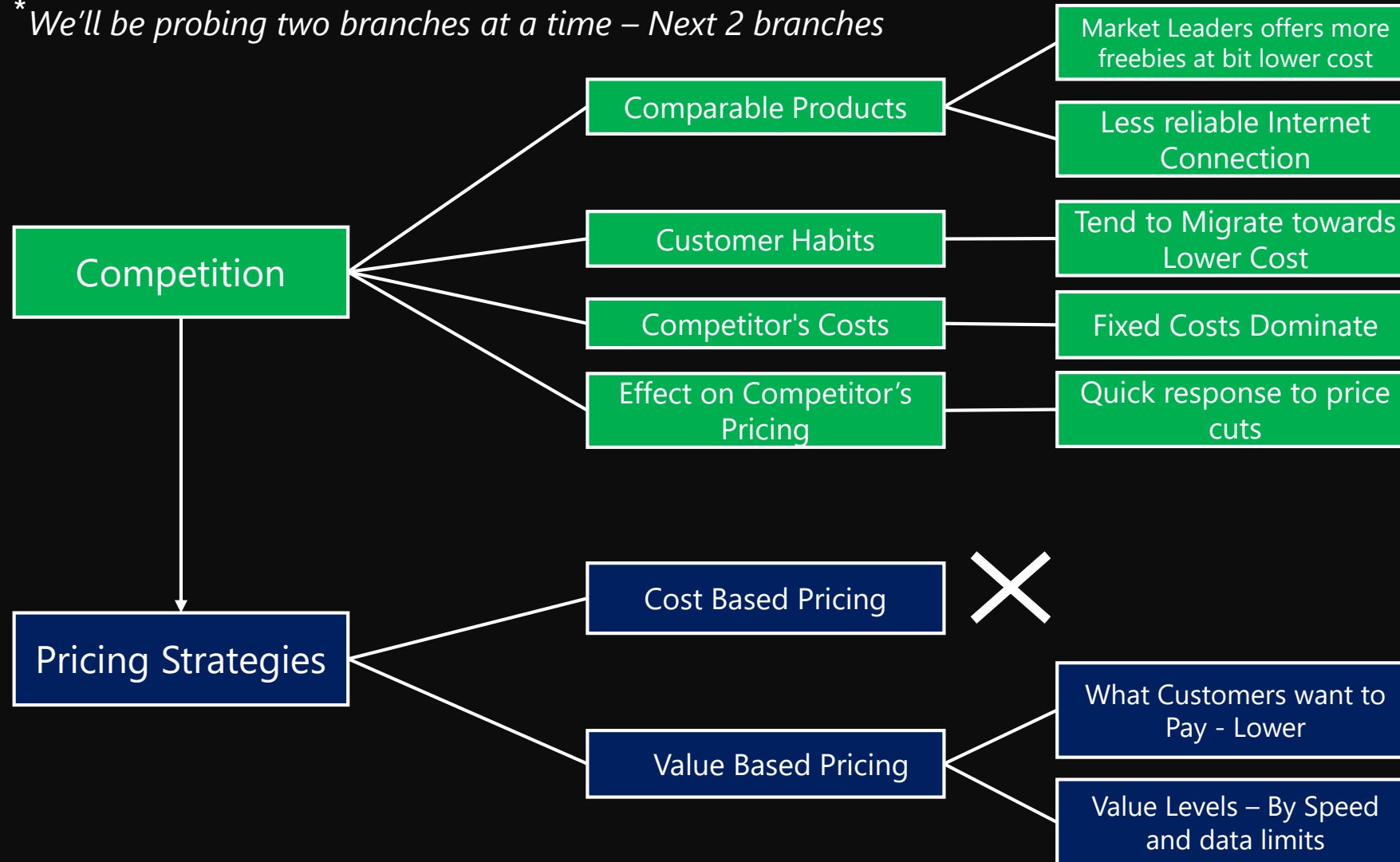
Situation: A formerly Dominant Internet Services Provider has asked for your help to decide the pricing of it's new Fiber-Optic Cable Internet Services to once again have the largest market share in India.

** We'll be probing two branches at a time – Next 2 branches*



Situation: A formerly Dominant Internet Services Provider has asked for your help to decide the pricing of it's new Fiber-Optic Cable Internet Services to once again have the largest market share in India.

* We'll be probing two branches at a time – Next 2 branches



Due to the large ratio of PE, and little USPs available with our product, it is suggested to lower the price to attract more customers in order to offset huge fixed costs

Pitfalls

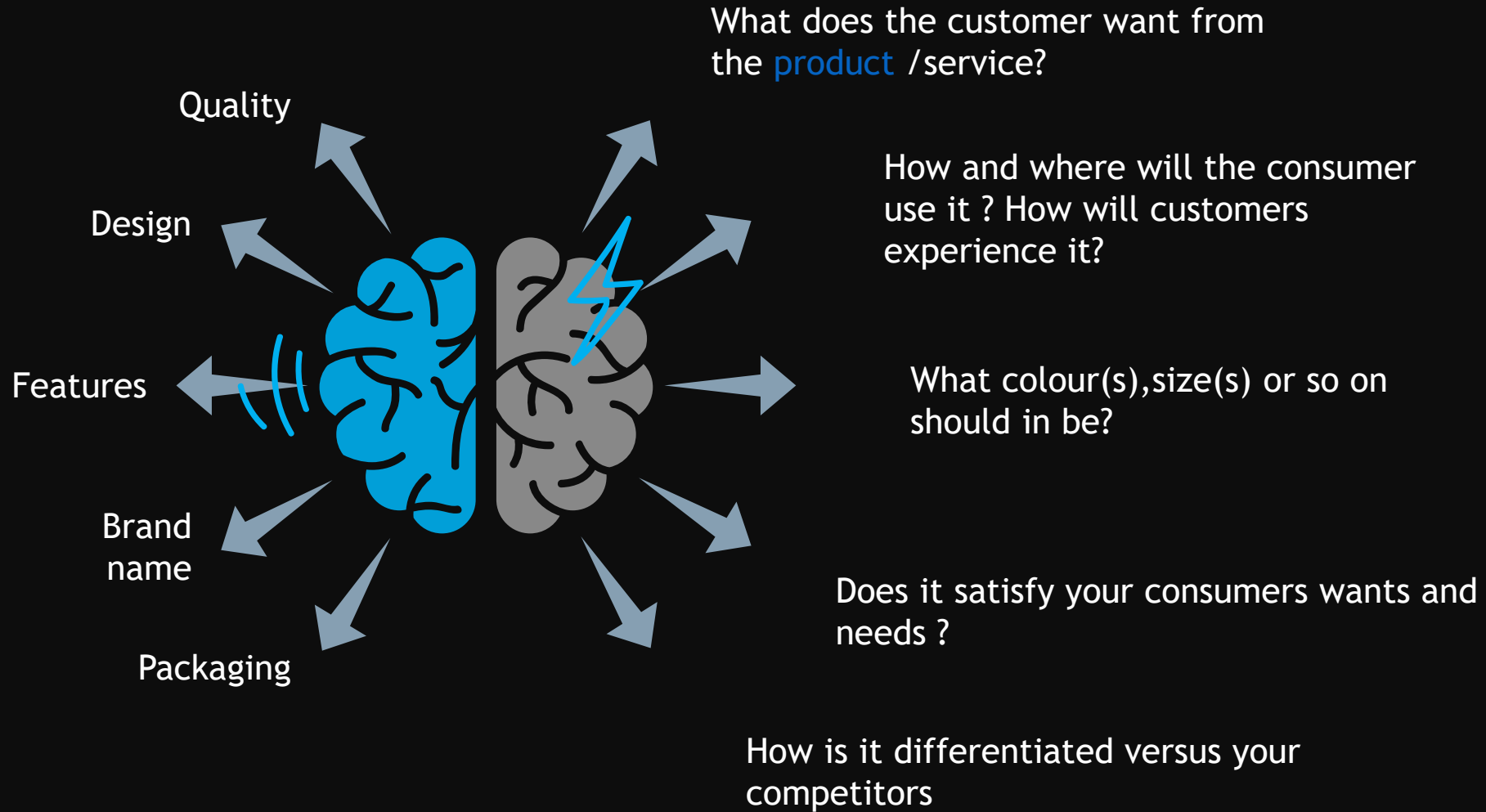
- Very Qualitative Framework.
- Final answer depends on qualitative analysis of factors which can differ from person to person.
- Very limited answering capabilities.
- Can't factor in the cooperative capabilities of multiple offerings of the company.
- Complex cases like cross selling and partnerships tend to get overlooked

Tips to Optimize Framework to the Case

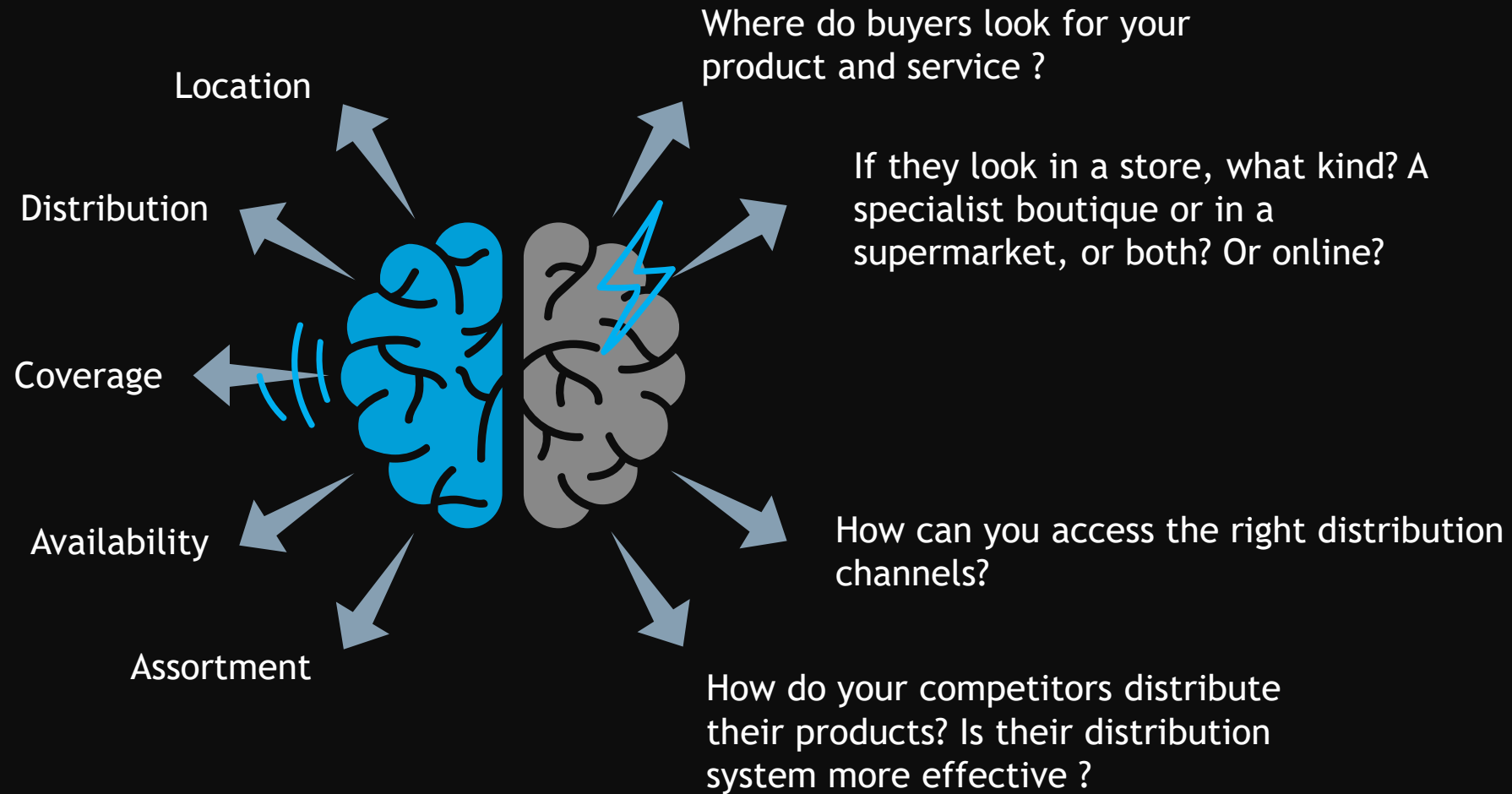
- Align yourself with the interviewer, make sure you both consider the similar factors to be of higher precedence before giving final answer.
- Ask about cross selling opportunities with other company products.
- Try to get quantitative data wherever possible in the interview.
- Tailor your solution in line with the company's goals for the product!

4P Marketing Mix

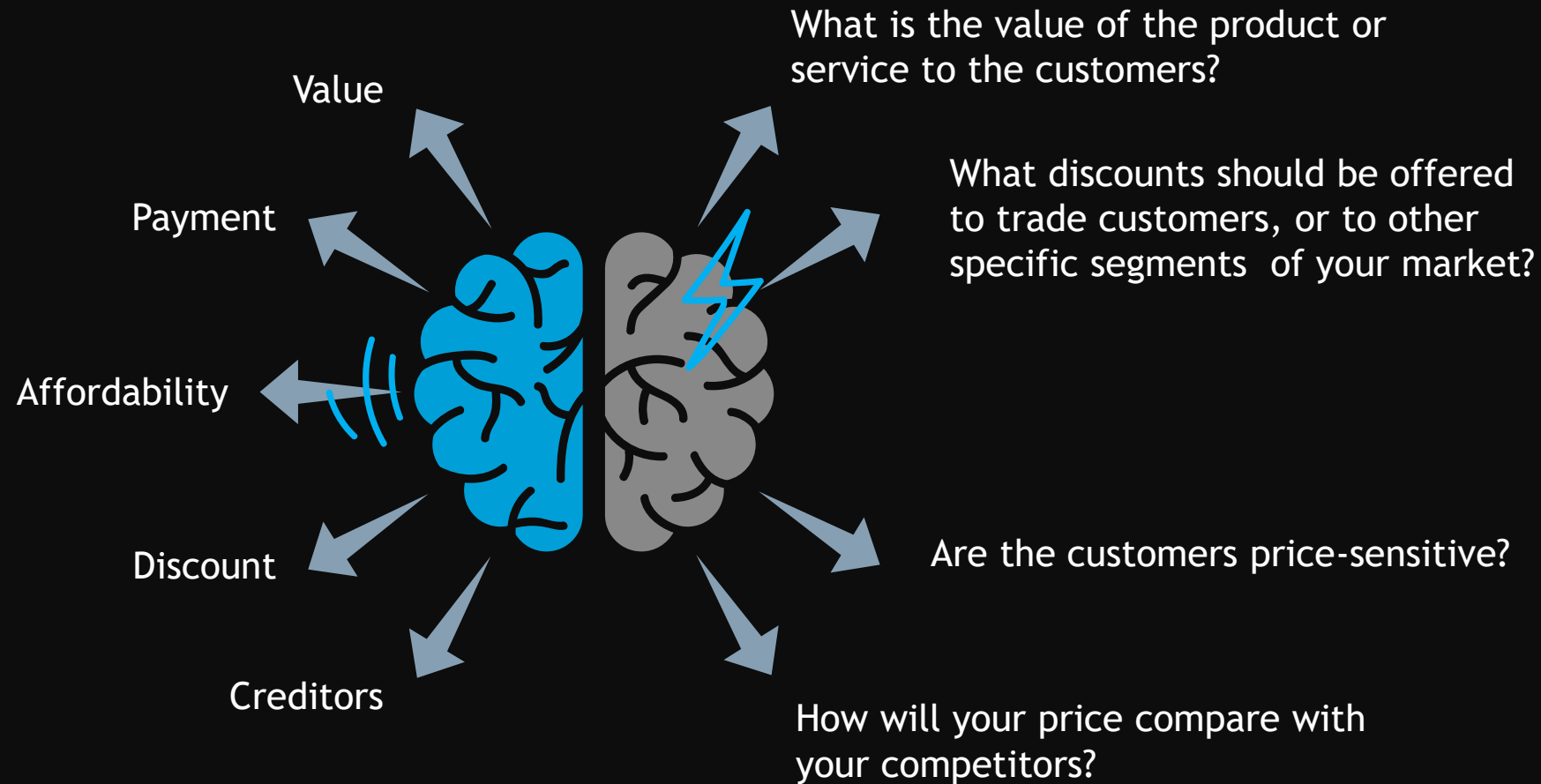
Product



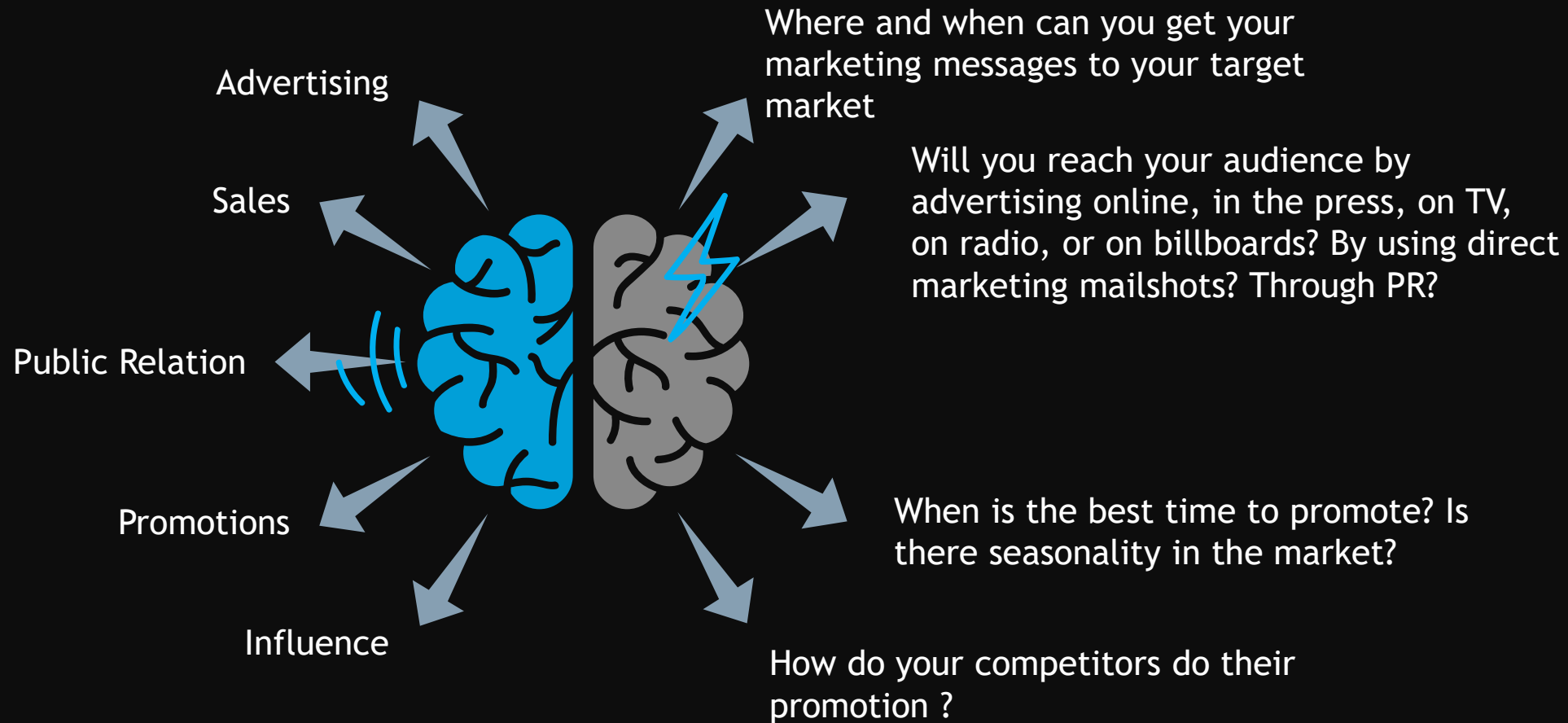
Place



Price



Promotion



Example of 4P Marketing Mix



PRODUCT

How does your product meet the needs of a consumer?
(Features like camera, screen size, better touch, memory etc.)

PRICE

Is your price comparable to other products with similar features ?
If not, then what additional features do you have and how do you differentiate from your competitors ?



PLACE

It's critical to evaluate what the ideal locations are to convert potential clients into actual clients. (Now a days a large segment of potential clients are engaged and converted online)

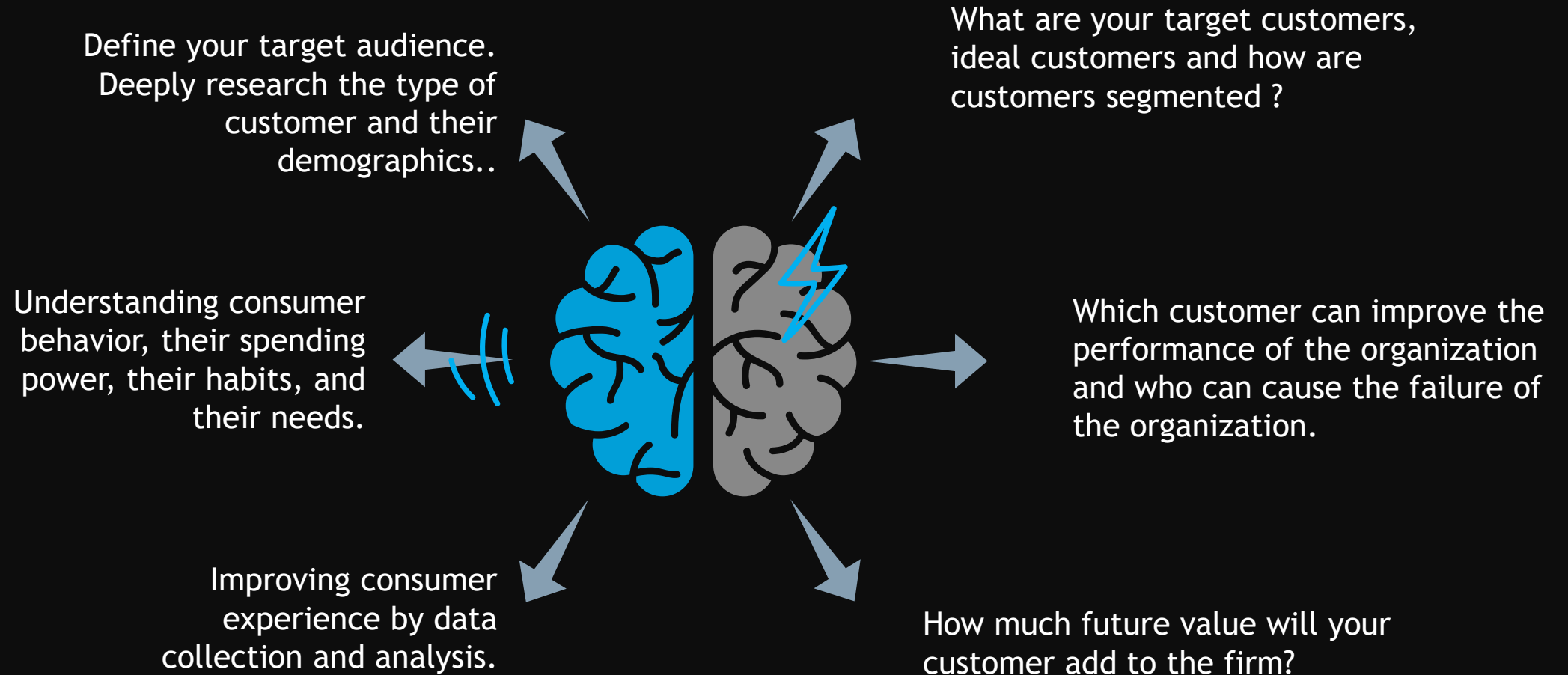
PROMOTION

Promotion for mobile company could be festival sales and intensive advertising of features.

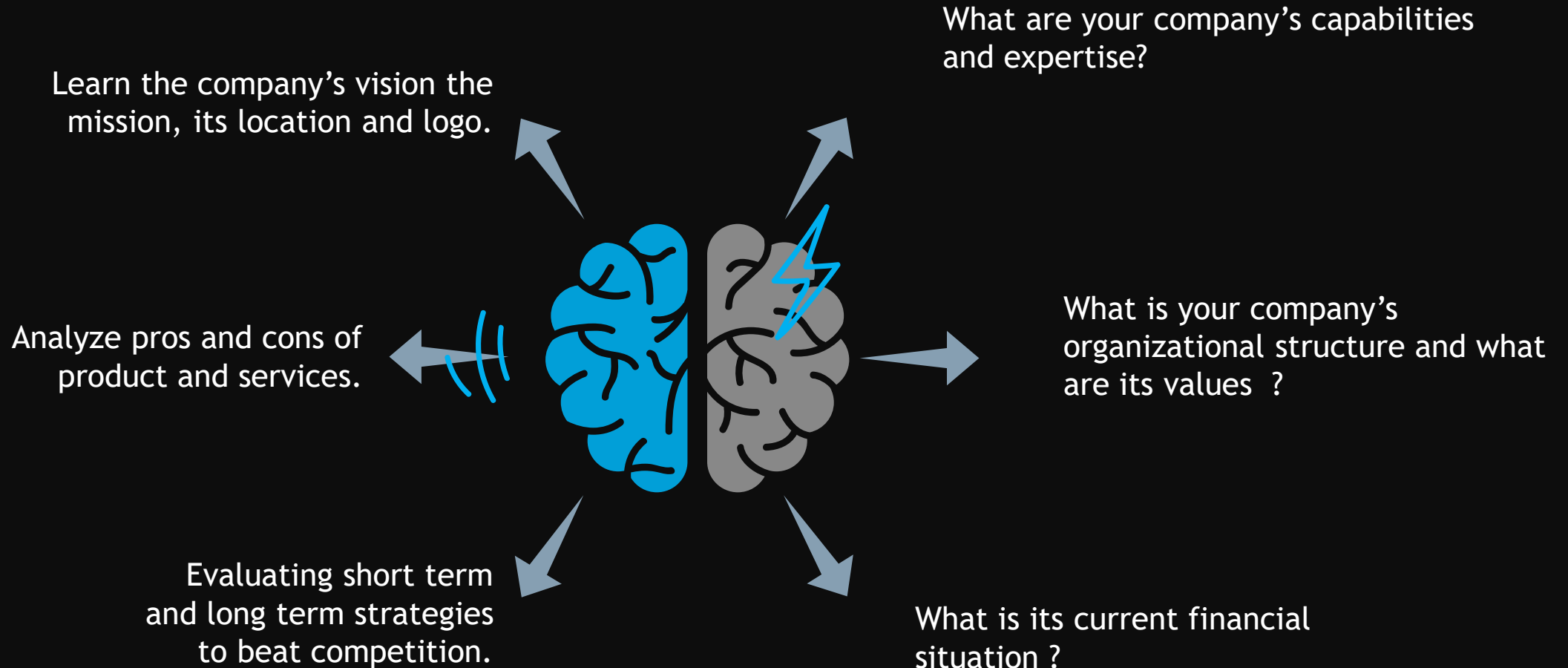


3C Framework

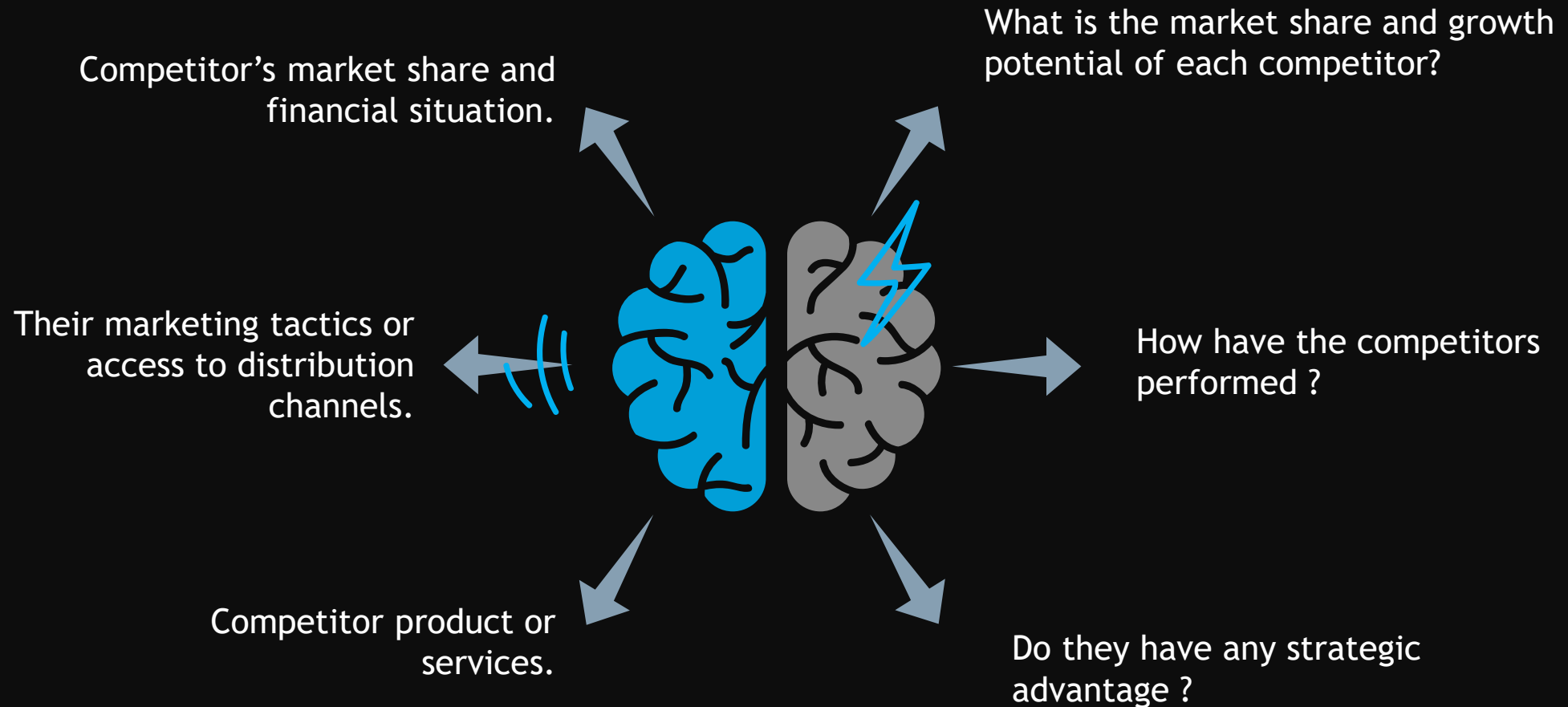
Customer



Company



Competition



Pro tips to an amazing slide deck!

Key Principle: Story Telling is the foundation of a good slide deck.

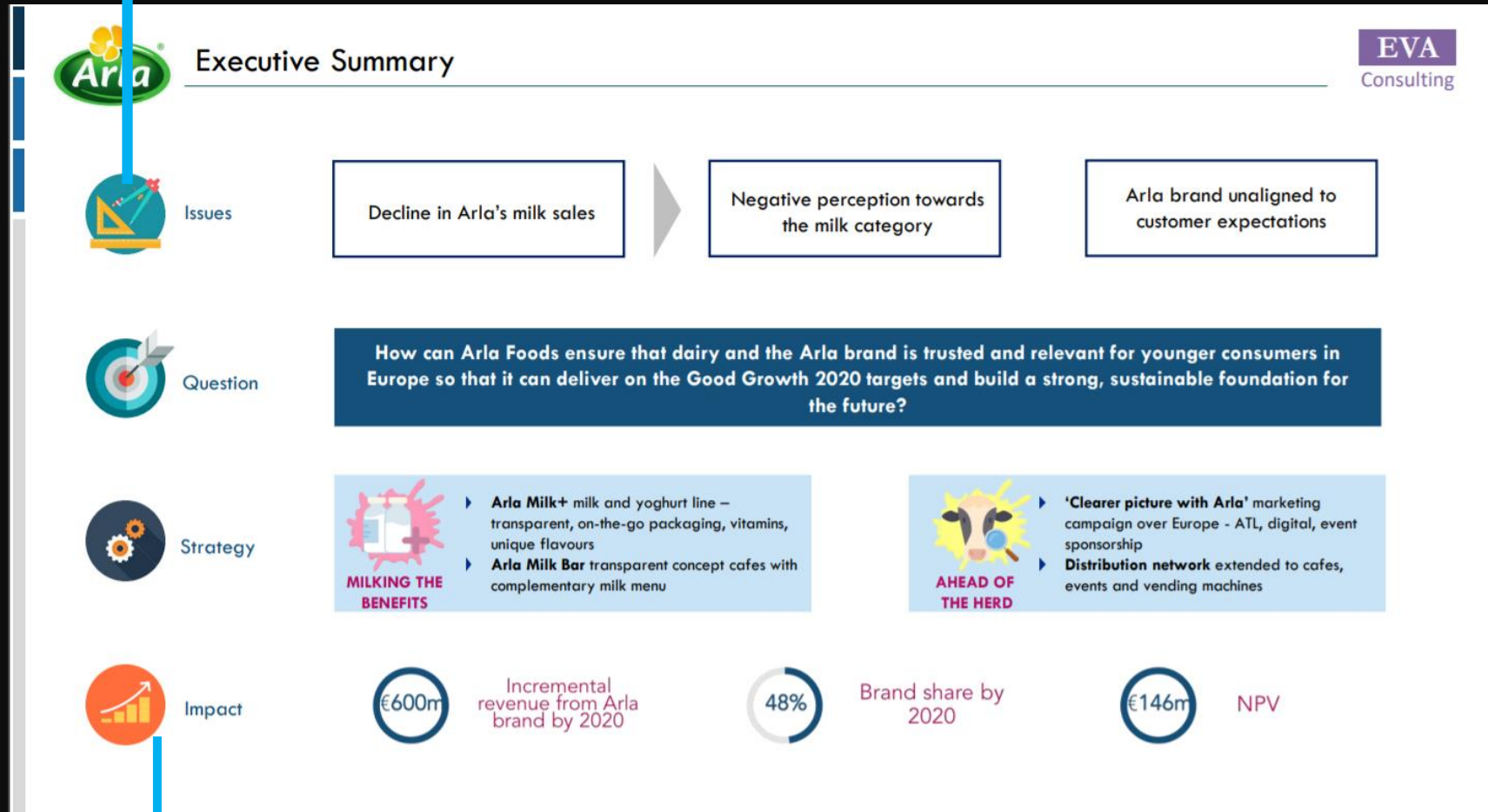
Pro Tip #1: Insert an executive summary of the case

Executive Summary

- Summarize the story by introducing the client and its pain points
- Summarize your solution and the flow of the presentation
- Highlight the key results, including 1 or 2 statistics that drive home the takeaway message

Executive Summary

Things that you should summarize



Keep the whole thing light
On text & use icons

Highlighting the key impact generated by you

Source: CBS Case Library

Pro Tip #2: User research is too impressive!

Research

- It's an excellent practice to collect user reviews, feedback and surveys while solving your case.
- You may float a form to collect answers to crucial questions related to the problem
- Helps you in creating your strategy “User Centric”



Pro Tip #3: Design is your silent ambassador!

Some Design principles

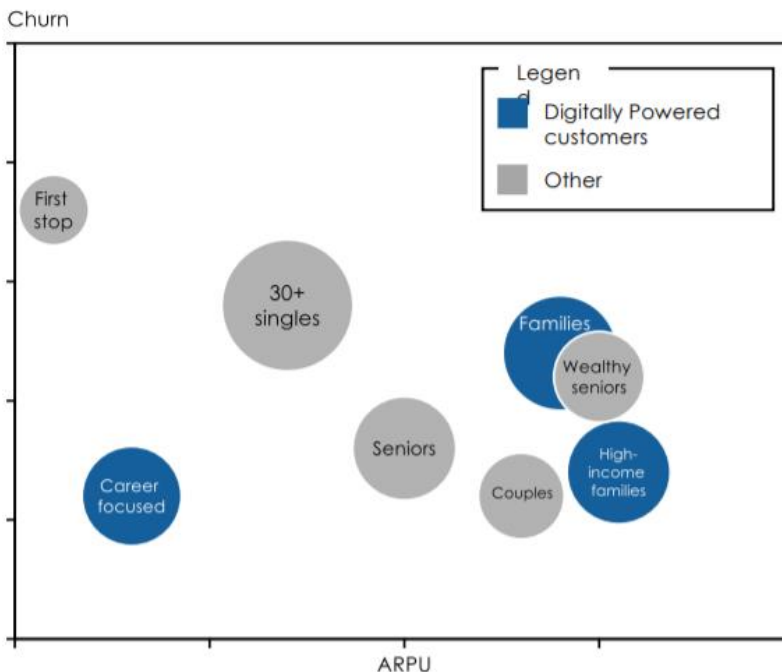
- Maintain constant formatting in the entire deck
- Keep it light on text!
- Try an use pictures/chart to express your data or ideas
- Keep the content directional
- Use **Selective Bolding** to stress upon an important term

Some Design principles

By utilizing the full spectre of YouSee's offerings, TDC can target the potential Digitally Powered customers with tendencies of high ARPU and low churn



1 Identified segments are Digitally Powered...



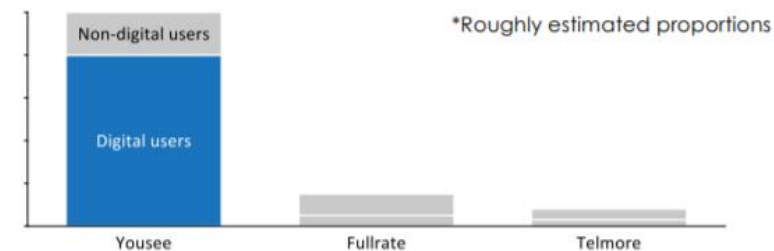
Source: Case Material



2 ... and currently, only Yousee offers the components catering to their wish of a complete omni-channel experience...

	youSee	FULLRATE	TELMORE
TV	✓		
Broadband	✓	✓	✓
Mobile	✓	✓	✓
Fixed line	✓	✓	

3 ... while the digital users within Yousee also constitute TDCs largest customer group allowing for maximum impact



4

Source: CBS Case Library

A picture is worth 1000 Words!!

Use of charts
Is highly
recommended

Pro Tip #4: Don't forget to include the Appendix

Pro Tip #5: Mention the source in the footnotes!

Using footnotes to mention the source

Source: Case Material

ARPU

Yousee

Fu

Summary

Analysis

Recommendation

Including this type of index on each slide is a great practice

How to ace PM interviews

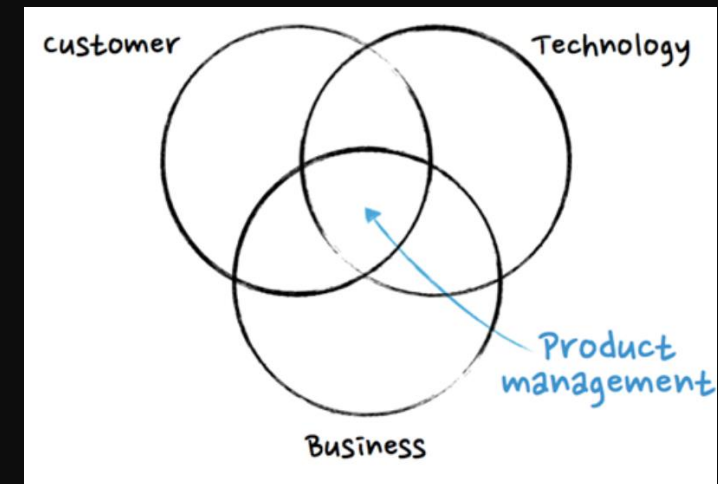
The “Meta” part

What does a Product Manager do?

Product manager's role is **User & Product focused**. You can easily find questions based on customer feedback or How will you improve a product?

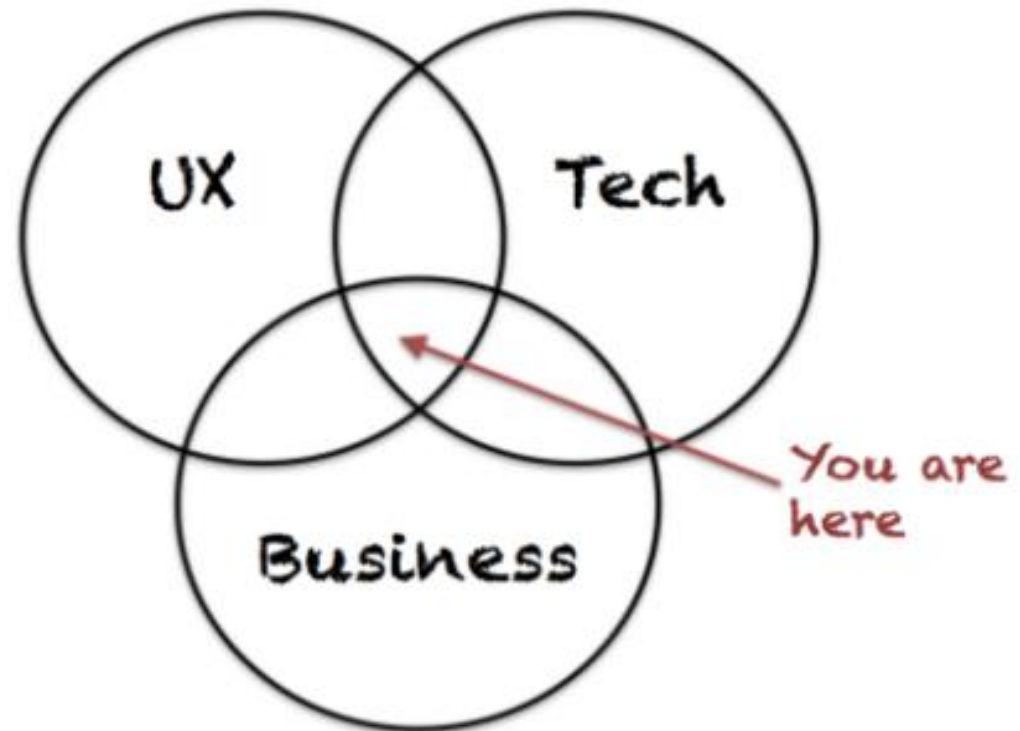
A product manager makes around 20-25 calls/week to its customers to understand their problems and strategizing a solution to that problem.

Sample Interview question: Uber received multiple negative reviews regarding surge pricing from it's users. How will you address this as a PM?



As a Product Manager, they tell you that:

A Product Manager is the intersection between Business, Technology and User Interface. A good PM should be efficient in at least one, passionate about all three, and conversant with practitioners in all.

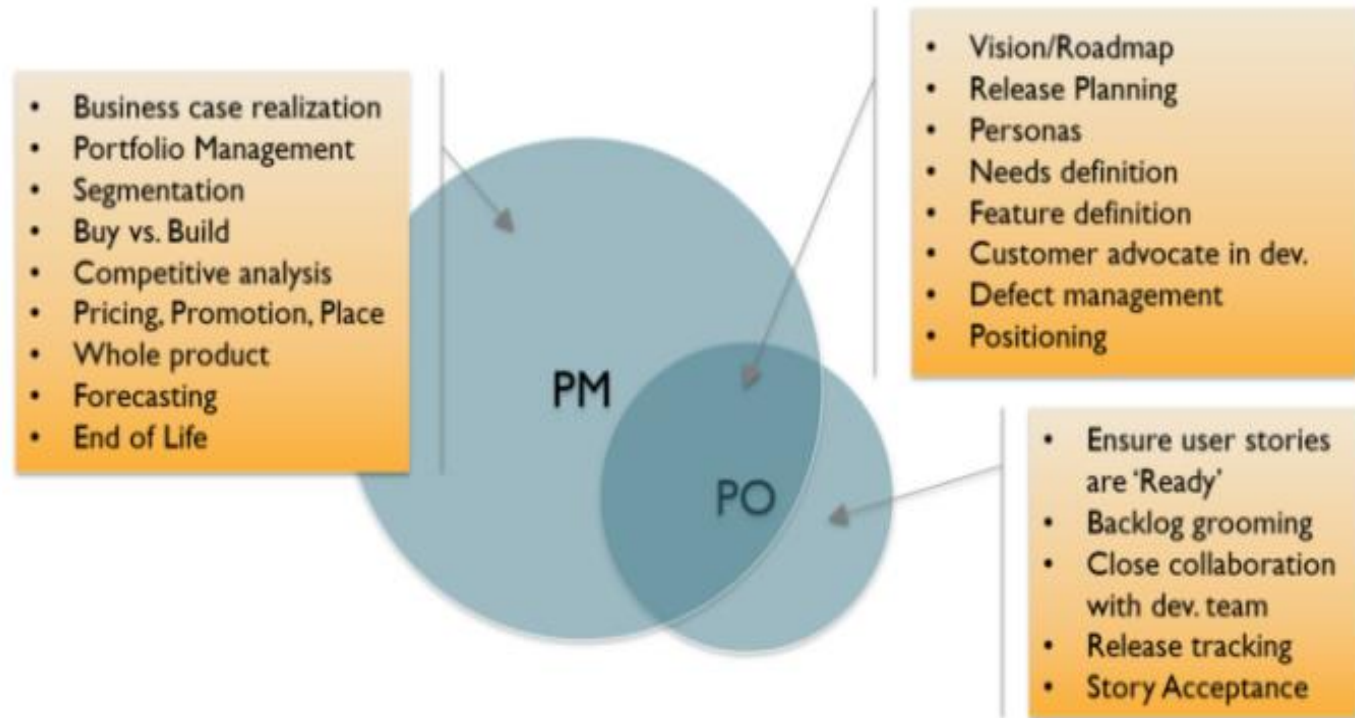


<https://www.mindtheproduct.com/2011/10/what-exactly-is-a-product-manager/>

4. The one where the product owner gets a way smaller circle than the product manager

Product Manager as also Product Owners' job includes road-mapping, prioritization and being the voice of the customer. However, the level on which they do it is different.

Visualization of roles

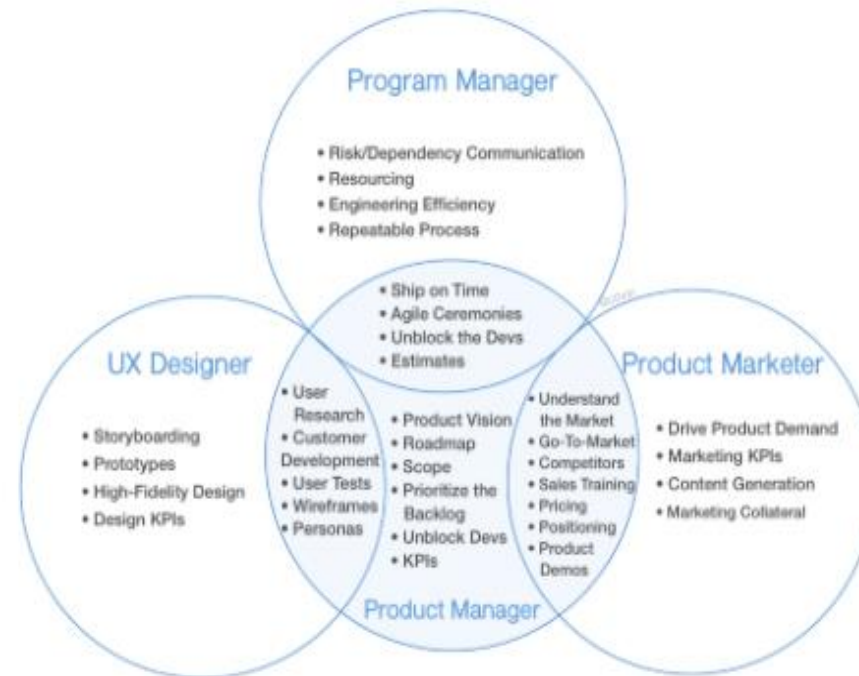


From 280 Group

2. The one in which the PM does 50% of everyone else's job (as well as her own)

The PM Roles-Adjacent Framework

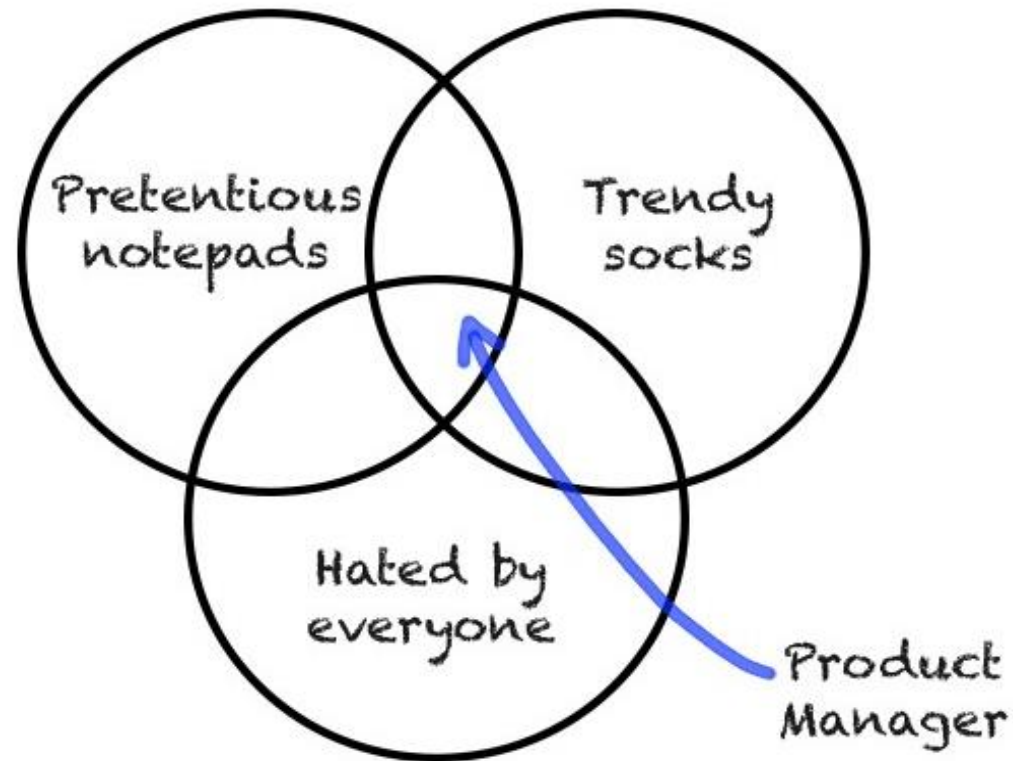
The Core responsibilities change little from company to company. Look at the roles in the diagram which the company lacks and make an educated guess on what the PM role looks like



Overlapping Accountabilities in Product-Adjacent Roles

From Catherine Shyu

10. The one that tells the truth



From the Department of Product

What it is

1. Ownership of products
2. Empathising with users
3. Stakeholder Management
4. First Principles & Structured thinking
5. **The Product Dashboard**

What it's not

1. Manager
2. Authority vs Influence
3. Tech Consulting
4. The only business role
5. Strategy role

PM Vibes

Must Have

- Ability to influence people
- Crafting a pitch, other people want to be a part of
- Clear written comm [Not so obvious/easy]
- Technical Acumen
- Innate Ownership
- Impact driven not Interrupt driven

PM Vibes

Good to Have

- Business/ Sales/ Operations on the ground experience
- Built a product yourself
- Aesthetic sense *[Not a skill]*
- Built a Community (Proxy for product)
- Reads a lot. ;D
- Thinking on toes

Why Product Management?

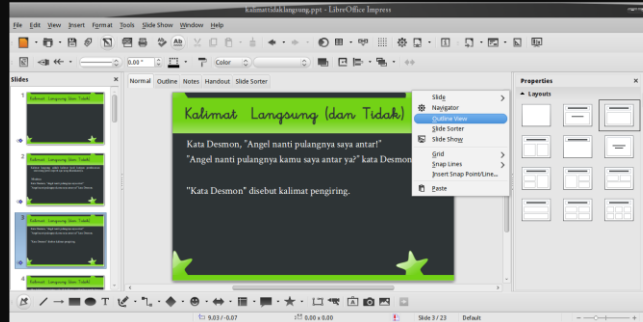
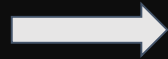
The PM interviewer's starter

The Actionable part

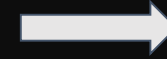
How do I get shortlisted?



Resume



Deck preparation/aptitude test



Interview

CV Preparation- What type of experience helps?

- Previous PM intern
- Any managerial experience
- Projects showcasing problem solving or decision making ability

How to prepare a deck?

- **User persona/User research**- Having the insights of users whose problems you will be solving is crucial.
- **Look for problems, not solutions.** A very good way to find them is to make a user flow. Dive deep into every problem/user step.
- **Decide priority**(compare and choosing) of features/solutions that you're proposing.
- **Identify metrics** to measure the success of your solution.
- **Identify trade offs and situations** where your solution may not work and reasons for the same.
- **Presentation**

User Persona/Research

1. Define your research **Objectives**.
2. Decide the **user base and demographics**
 - **Interview** for User Persona (ask everyone the same kind of questions)
 - **Google doc** for User Research (should be focused on user & product)

User Persona

3. Create 3-5 unique and detailed personas with **consistent layouts**.
4. Emphasize **users' motivation and pain points**.

User Research

3. **Gather data** and make sense out of it to fill in the gaps of knowledge.
4. Try to **answer the questions** in our Objectives.

User Persona Sample



Imaginative Smart Neat Passionate Geekie
Collector Geek <3 Shy
Feminist Control Freak

Nerdy Nina

"The book is way better than the movie!"

#booklover
#bookaddict
#booknerdproblems

DEMOGRAPHICS

Age: 25
Location: Sao Paulo, Brazil
Education: Software Engineer
Job: Q/A at Indie Game Company
Family: Lives with her boyfriend

TECH

Internet
Social Networks
Messaging
Games
Online Shopping



GOALS

- Discovering new books / authors to read
- Finding unique stories
- Cataloging book collection

FRUSTRATIONS

- Keeping track of different series
- Forgetting a book launch date
- Finding space for more books

READING HABITS

- Fast pace reader
- Never lends books
- Likes hardcovers and boxed collections
- Pre-order books to get them first
- Reads eBooks, but prefer physical copies
- Always finishes a book
- Loves binge reading and re-reading

FAVORITE BOOKS



American Gods
Neil Gaiman



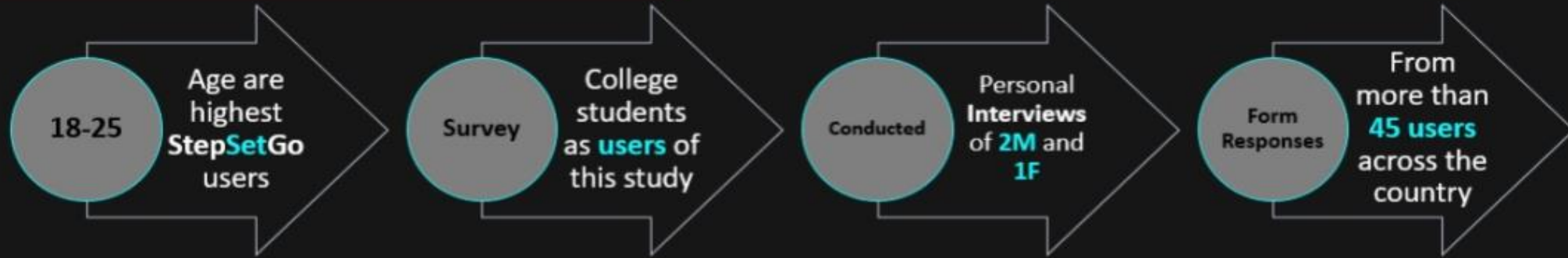
Harry Potter
J.K. Rowling



Ready Player One
Ernest Cline

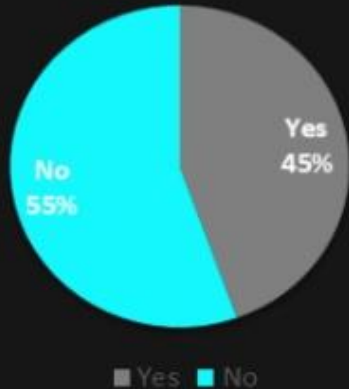
User Research Example

WHAT BOTHERS A STEPSETGO USER?

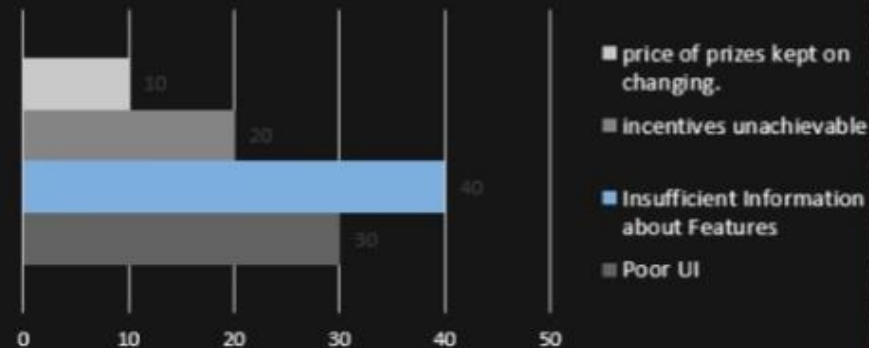


END USER ANALYSIS ON THE PROBLEM BRIEF:

Do you still use StepSetGo?



Why did you stopped using the StepSetGo ?



Which of these features(if present) would have increased your interaction with the App?



These curves shows the analysis which is carried out after the survey, the input data from the users was analysed, relevant words were extracted and accordingly **the topic names** were generated using NLP's LDA(Latent Dirichlet allocation) as shown in **curve 3**.

How to prepare for an interview?

Generally asked questions:-

- ❑ Guesstimate
- ❑ Product/Business case study
- ❑ Strategy based (New product/ New market/ Growth)
- ❑ Metrics based
- ❑ Product critique (Fav. product/ improvement/ design)
- ❑ Technical round (optional)
 - SQL related question
 - Techstacks of projects on your CV

Guesstimate

How many elevators do you need for a 50-story building?

- Office building
- Assuming **120 people/floor**, total **6000 people** in the building
- People get to work between 8am to 9am. Assuming 6000 people come uniformly in the 60 minutes, i.e **100 people/minute**

No. of elevators required for a 50 storey building

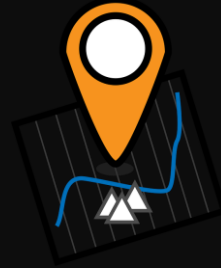
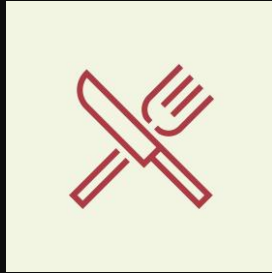
- We don't want people to wait for more than 20 seconds, i.e 33 people wait for each batch of 20 seconds
- Assuming each floor is 3 meter high and speed of elevator is 5m/s
Also let's say the elevator stops 12 times each for 20 seconds on its way up
- At 5m/s, 150m tall building will be covered in 30 seconds. Total time to reach the top= 30 + 240 = 270 seconds. Let's say it takes half the time to get down in morning, i.e total of 6.75 minutes (270 + 135 seconds)
- Let's say each elevator can contain 10 people. It would take 3.3 (33/10) elevators to transport first batch. Since 6.75 minutes would've passed before the first set of 3.3 elevators return back, we'll need a total of $67 \{(6.75 \times 60/20) \times 3.3\}$ elevators.

Product/Business Case study

You're a Product manager in Swiggy and the CEO comes to you and says,

“The average revenue per user is decreased by 5% this week, what might be the reason for this? (Propose solutions for the same)”

Swiggy: User flow



Use Sign up/in
Chose delivery and
restaurant

Payment
confirmed

What might have gone
wrong??

Metrics based question

What metrics will you use to check the success of Instagram Reels?

Instagram Reels

The basic metrics for measuring success of **any product** are:-

1. Awareness (Discovery)
2. Acquisition
3. Conversion
4. Engagement
5. Retention
6. Monetization

- Lead time before discovering
- Net Promoter score
- App installs
- Bounce rate
- Click through rate
- Avg no. of reels/user
- Avg session time/user
- DAU/MAU
- Traffic (Organic/Paid)
- Retention rate cohort
- Churn rate
- App uninstalls
- Average revenue per user
- Monthly recurring revenue

Product Critique

How would you improve LinkedIn?

Ask the right questions.

What are the metrics of improvement?

Is it the App/ Website that we are optimizing for?

What are the constraints to be aware of?

What are our business goals for the improvement?

Product Critique

Improving Engagement on LinkedIn mobile app,

**Where Engagement = Avg posts created per user per
day/month**

Move the metric by 5% over the quarter

Product Critique

Who writes posts? Get the use stories right

User personas

JTBD Framework

Product Critique

Prioritise 1 user story

College students want to share their upskilling experiences
with their Network

Product Critique

And finally come the solutions!!

1. LinkedIn Campus Editor
2. Featured editorial

Product Critique

Prioritise the Solutions, Yes again.

- Impact vs Effort
- RICE: Reach, Impact, Confidence, Effort

GUESSTIMATES' BANK

A sneak-peek into what the top companies ask

Guesstimates from: BCG Interviews

- How many Pay-phones are there on the Island of Manhattan?
- How many hotel-sized mini bottles of shampoo and conditioner are produced each year around the world?
- How many people in Uganda have no access to Electricity?
- How Many Mazda Dealers Are There in the U.S.?
- How to Estimate the Size of Chewing Gum Market in the U.S.?
- Describe how you measure the average time taken to queue at an airport check-in counter?

Guesstimates from: Bain & Co.

- Guesstimate the number of laptops in working condition in Delhi right now.
- Calculate the number of watches that people currently own in Delhi region alone.
- How many cups of tea are sold in all of India every week?
- Estimate the number of flying cars that would be sold in 2025!
- How Many Penguins Can Live in Antarctica?

Guesstimates from: Oliver Wyman

- How many miles of road are there in the United States?
- How many people are in the air of U.K. Right Now?
- How many liters of petrol a petrol pump sells per Day?
(* Question altered from gallons to liters for ease of understanding)
- How Many Songs Are Stored on iPods in the UK?
- How many words are there in the daily edition of The Times?

Guesstimates from: McKinsey Interviews

- Estimate the colored TV sales for Flipkart during Diwali season (in India).
- Estimate toll collection outside Bangalore airport (in a week on average).
- Estimate the annual logistics cost for Flipkart (in India).
- How much change would you find on the floor of an average mall (today)?
- How many second hand wedding dresses are sold in the UK each year?

Guesstimates from: Wall Street Firms

- If I were to fill this room with pennies, how many pennies would fit in?
- What is the size of the market for disposable diapers in China?
- How many Delta Airlines planes will take off in the next hour in United States?
- How many gas stations are in North America?
- Estimate the annual revenue of Tropicana's orange juice division in the U.S.?

Guesstimates from ZS Associates

- Estimate the size of diaper market in India.
- Estimate the number of traffic lights in Patiala.
- How many kilograms of chicken is sold in your city per annum?
- How many cricket bats are produced (in India annually)?
- What is the number of mobile phones used in the world?
- What is the market size of blue car in your native city?
- How many cricket balls will fit into a Boeing 747?
- Estimate the revenues of any outlet of Haldirams in 1 day.
- Estimate the number of ATM machines in Delhi.

Guesstimates from: Other Consulting Firms

- Estimate the average revenue of DTC buses in a day. (KPMG)
- How many gallons of ice cream are sold in the United States each year? (PwC)
- How Many Basketballs are Purchased by NBA Each Year? (Accenture)
- How Much to Pay for the World's Only Dinosaur? (Accenture)
- Estimate the number of customers Flipkart gained due to the Big Billion Day sale. (Accenture)
- How Much Paint Does It Take to Paint United Airlines' Fleet? (Capital One)
- Number of Medium size industries in Mumbai? (Deloitte)
- How many individual French fries does McDonald's (NYSE: MCD) sell in the United States each year? (Roland Berger Strategy Consultant)
- How Many Cats Are There in the United States? (Advisory Board Company)
- How Many Piercings Are Done in India in a Year? (Capgemini Consulting)
- What Is Market Size of Hand Knitting Yarn in the U.S.? (E.Y. Advisory)
- What is Annual Demand for Natural Gas in India? (A.T. Kearney)
- How Many Airplanes Are Over the U.S. at Any Given Time? (FTI Consulting)
- How Many Taxicabs Are There in New York City? (Mercer)

Guesstimates from: Software Companies

- How Many Beer Bottles Are in Circulation in the U.S.? (IBM)
- In the United States, how many people are in the air right now? (IBM)
- How Many Golf Balls Can Fit into a School Bus? (Google)
- How Many Dogs Are There in the United States? (Google)
- What Is Annual Demand for Sugar in the United States? (Applied Predictive Technologies)
- Can you guess the size of the grocery market in India? (Flipkart)

FURTHER READING

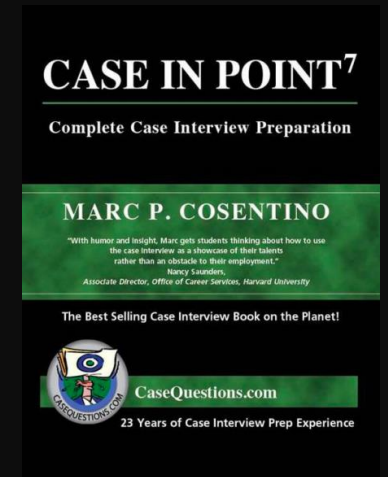
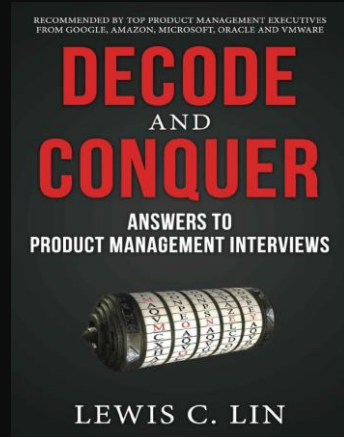
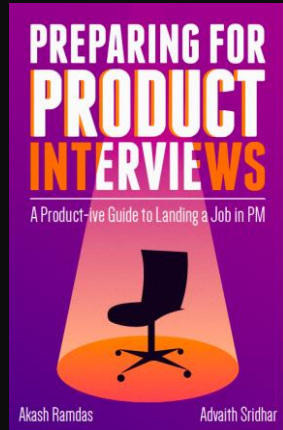
Sealing the deal

Consulting

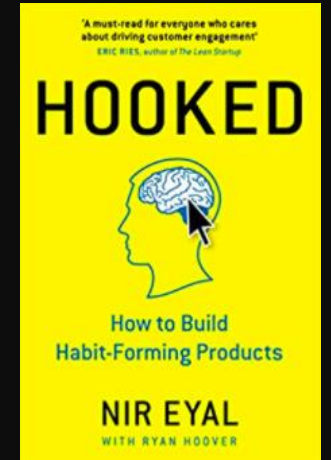
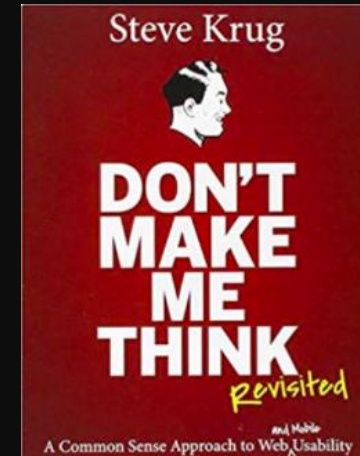
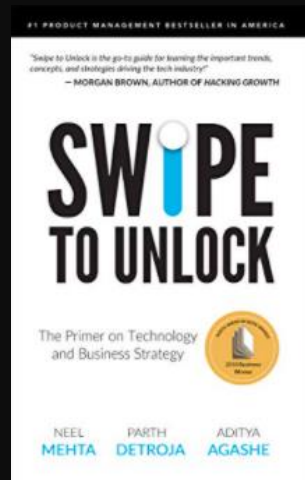
- Book: Case Interviews Cracked (Saransh Garg, Sankal Kelshikar)
- Book: Case Interview Secrets (Victor Cheng)
- Book: Case In Point (Marc P. Cosentino)
- Website: Crafting Cases
- Website: [caseinterviewsecrets](http://caseinterviewsecrets.com)

Books you should read for Case Interviews

For Interview Preparation



To know more about the PM role



Next Steps....

Keep the fundamentals strong

Practice with peers

Research about the firm you're applying for

Keep up with the industry news and a few demographics

Reach us at cac@iitg.ac.in for any doubts/clarifications



Consulting & Analytics Club
IIT Guwahati

Thank You.